



EAST AFRICAN PORTLAND CEMENT COMPANY LIMITED
ANNUAL REPORT AND FINANCIAL STATEMENTS

2010
2011



East African Portland
Cement Co. Ltd

Holding Life Together

VISION

To be the Regional Leader in the Provision of Cement,
Innovative Cement Products and Solutions

MISSION

To provide Cement for Infrastructural solutions
to the satisfaction of our stakeholders



VALUES

TEAMWORK:

We promote respect, unity and commonness of purpose amongst staff
We also promote and encourage exchange of ideas and openness

INTEGRITY:

We embrace a culture that promotes honesty,
transparency, accountability and professional ethics

CUSTOMER FOCUS:

We are dedicated to meeting customer expectations

TIMELINESS:

We promote timely delivery of high quality products

INNOVATIVENESS:

We encourage creativity, embrace positive change and reward innovation

COMMITMENT:

We ensure peak performance, enthusiasm and excitement for work

SAFETY:

We ensure that we operate in a healthy and
safe environment conducive to efficient productivity

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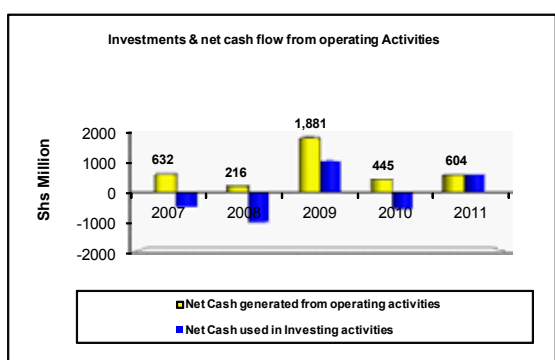
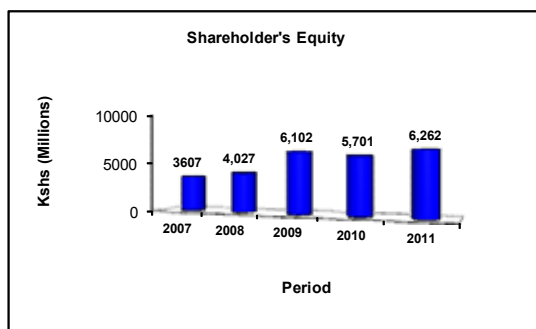
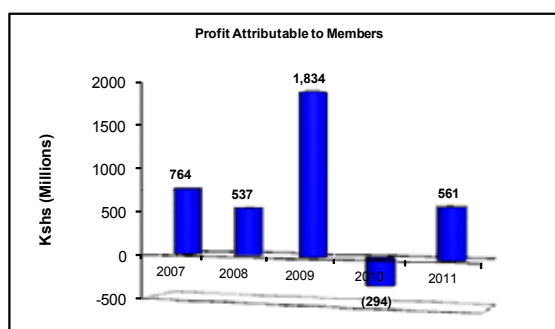
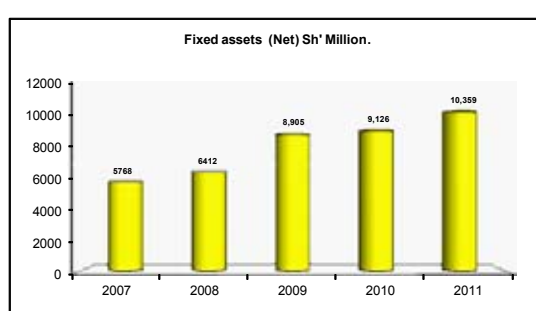
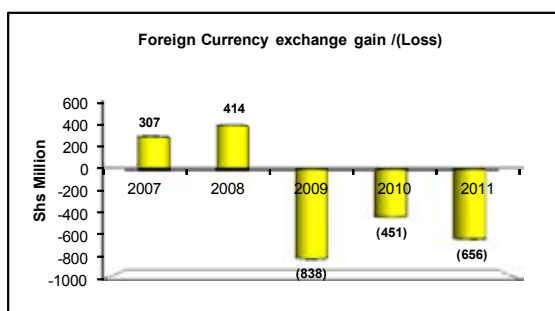
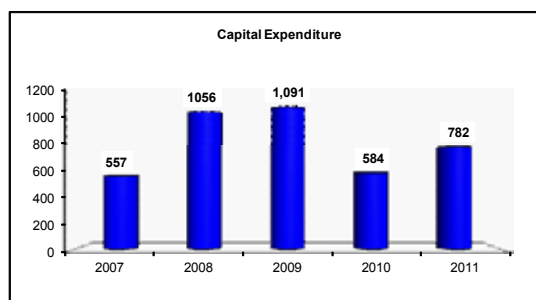
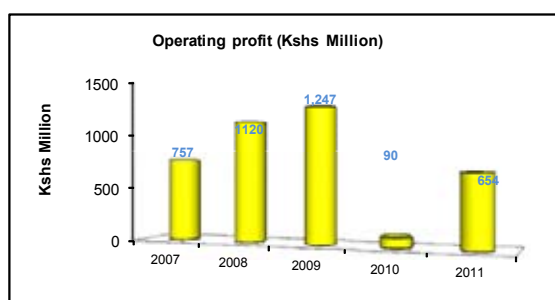
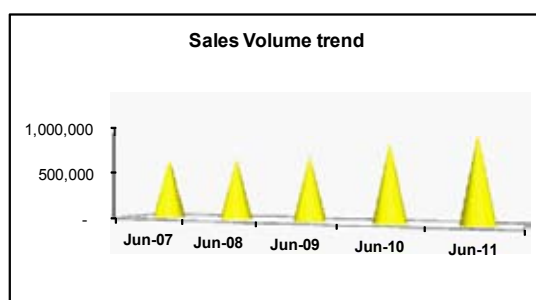
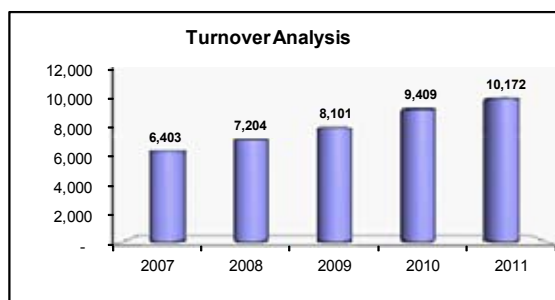
FIVE YEAR FINANCIAL REVIEW

	2011 Shs'000	2010 Shs'000	2009 Shs'000	2008 Shs'000	2007 Shs'000
Turnover	10,172,140	9,408,711	8,101,377	7,204,479	6,402,736
Operating profit	653,640	90,015	1,247,045	1,120,355	757,337
Foreign currency exchange Loss/ (Gain)	(655,909)	(451,176)	(837,522)	(414,451)	307,311
Loss / (Profit) before tax	(119,059)	(338,571)	1,881,678	715,889	1,112,625
Taxation credit / (Charge)	680,314	54,520	(47,624)	(179,237)	(348,461)
Profit / (Loss) Attributable to Members	561,255	(284,051)	1,834,054	536,652	764,164
Dividends		-	117,000	-	234,000
<i>Capital Employed</i>					
Assets					
Non current	10,358,801	9,125,885	8,904,918	6,411,608	5,768,197
Current	3,172,070	2,911,680	3,131,045	2,661,737	3,170,375
Total assets	13,530,871	12,037,565	12,035,963	9,073,345	8,938,572
Equity & Liabilities					
Share holders funds	6,262,456	5,701,201	6,102,252	4,026,749	3,607,097
Non current liabilities	5,168,236	4,499,714	4,421,319	3,870,221	3,896,220
Current liabilities	2,100,179	1,836,650	1,512,392	1,176,375	1,435,255
Total Equity & Liabilities	13,530,871	12,037,565	12,035,963	9,073,345	8,938,572
Ratio Analysis					
<i>Profitability and Efficiency Ratios</i>					
Gross profit margin	23%	22%	31%	33%	27%
Operating profit margin	6%	1%	15%	16%	12%
Net profit margin	6%	-3%	23%	7%	12%
Return on assets	4%	-2%	15%	6%	9%
Return on Equity	9%	-5%	30%	13%	21%
<i>Liquidity Ratios /Working capital</i>					
Current ratio	1.5	1.6	2.1	2.3	2.2
Quick ratio	1.2	1.2	1.6	1.4	1.8
Earnings Loss per Share	6.24	(3.16)	20.38	5.96	8.49
Dividends per share (Kshs)			-		
Interim Paid				-	1.30
Final & proposed	0.50		1.30	-	1.30
Total	0.50	-	1.30	-	2.60

FINANCIAL HIGHLIGHTS**FOR THE YEAR ENDED JUNE 2011**

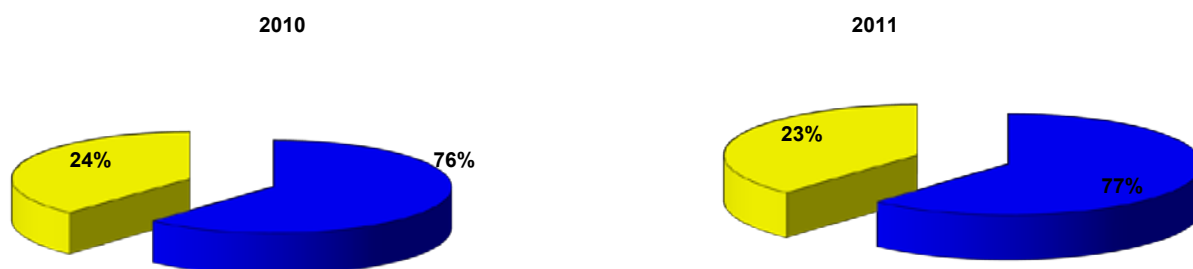
	2011 Sh'000	2010 Sh'000
NET REVENUE	10,172,140	9,408,711
Loss before tax	(199,059)	(338,571)
Profit/ (Loss) attributable to the shareholders of the East African Portland Cement Company Limited	561,255	(284,051)
DIVIDENDS	-	-
Share Capital and Shareholders' funds		
Ordinary Share Capital	450,000	450,000
Shareholders fund	6,262,456	5,701,201
Earnings and Dividend per share		
Earnings Loss per share		6.24 (3.16)
Dividend Per Share		
Final & proposed	0.50	-
Total	0.50	-

FINANCIAL HIGHLIGHTS



FINANCIAL HIGHLIGHTS

DISTRIBUTION OF ASSETS



	2011 Kshs m	2010 Kshs m
Non current Assets	10,359	9,126
Current Assets	3,172	2,912
	13,531	12,038

DISTRIBUTION OF EQUITY AND LIABILITIES



	2011 Kshs m	2010 Kshs m
Shareholders funds	6,262	5,701
Non current liabilities	5,168	4,500
Current liabilities	2,100	1,837
	13,531	12,038

Chairman's Statement



East African cement market provides opportunities since demand is projected to grow. The key demand drivers of cement are private investments and government spending driven by the desire to narrow the housing deficit and infrastructure situation. In Kenya, the rising middle-class and interest from foreign investors will continue to spur the real estate sector.

Mark K ole Karbolo
CHAIRMAN

CHAIRMAN'S STATEMENT

Dear Shareholder,

I am pleased to welcome you to the 79th Annual General Meeting of the East African Portland Cement Company Limited and to present to you the Annual Report and Financial Statements for the year ended 30 June, 2011.

I wish to thank you all for your continued interest and express my gratitude to the many new shareholders who decided to invest in our Company during the past year.

Economic Outlook

Kenya has been on the recovery path after the post election violence of 2008. The passing of the new Constitution and the intervention of the International Criminal Court (ICC) in post-election violence resolution helps to deter recurrence and reduce future political risk. With elections scheduled for 2012, the focus by government will shift to the political arena in order to deliver a peaceful election. Investors will be cautious and we are likely to see a slowdown of economic activities as we get closer to the election.

The Kenyan Economy grew by 5.6% in 2010 compared to a growth of 2.6% in 2009. The manufacturing sector grew by 4.4% in 2010 compared to 1.3% in 2009. The Building and Construction sector growth was reflected in cement consumption which grew by 16.2 % to 3.1 million tonnes in 2010 compared to 2.7 million tonnes in 2009. This was mainly due to increased government expenditure in infrastructure construction, rehabilitation activities and Constituency Development Fund (CDF) projects.

In year 2011 overall inflation increased to 17.32% in September 2011 from 14.5 % in June 2011. Tight liquidity led to increased interest rates and there was major depreciation of the Kenya Shilling and volatility that forced the Central Bank of Kenya to intervene in order to stabilize the shilling. However the economy still remains vulnerable to global forces such as the Eurozone sovereign debt debacle and increase in international commodity prices. Other factors likely to shape economic growth for Kenya in 2011 include:

- High international oil prices
- Fluctuations in the Exchange rate
- Rainfall patterns
- Rising global food prices.

Cement Market and Competition

Cement imports into East Africa are set to increase given the pricing pressure and proximity of the region to Asia (mainly Pakistan). The reluctance of the East African Customs Union to increase the Common External Tariffs (CET) leaves the local cement producers exposed to these imports. The high production cost and poor infrastructure in the region makes the current pricing attractive from global context and offers healthy margins to surplus producers like Pakistan.

East African cement market provides opportunities since demand is projected to grow. The key demand drivers of cement are private investments and government spending driven by the desire to narrow the housing deficit and infrastructure situation. In Kenya, the rising middle-class and interest from foreign investors will continue to spur real estate sector. The country also being an economic hub in the region attracts various multi-nationals due to its strategic geographical positioning.

The new nation of Southern Sudan provides enormous opportunity for increasing cement demand in the country's reconstruction. Other inland export deficit markets include Uganda, Rwanda, Burundi and east of the Democratic Republic of Congo that are also on the reconstruction path and will support cement consumption going forward.

On the domestic scene, the Government of Kenya in its Vision 2030 envisages to undertake road construction and rehabilitation estimated at Sh. 20 billion per annum over a ten year period (2005-2015). So far various road projects are ongoing like the Nairobi-Thika Highway, Mombasa-Nairobi Highway and Namanga-Arusha Highway. Vision 2030 envisages massive infrastructural development involving a wide range of sectors apart from roads including ports, railways, special industrial zones and even general housing for human settlement. At the same time home lending by banks has been on the increase. The National Housing policy envisages 150,000 units per year to bridge the housing shortfall. These trends will definitely call for increased cement production. Kenya thus continues to record significant growth in infrastructure-led consumption. However since most of the capacity additions by cement firms are for grinding the country will continue to import clinker. This presents additional opportunities for growth.

CHAIRMAN'S STATEMENT (continued)

Performance

East African Portland Cement Company Ltd. experienced many challenges and opportunities over the past year, but returned back to profitability. The Economic climate affected our business in several major ways as did new entrants and cement imports into the country. Due to inflationary pressure, increase in global oil prices, significant decline in the Kenya Shilling against all major currencies and food shortages; raw materials, fuel oil, coal and electricity costs went up. However, EAPCC responded by becoming a more flexible and responsive organization. Our aim is to maintain our margins in the long-term given the restructuring of the distribution system and continued focus on cost containment initiatives. EAPCC has a strong management team that continues to deliver value to its shareholders.

Due to stiff competition, net sales revenue increased by 8% to Sh. 10.2 billion from Sh 9.4 billion from the previous year. Although profitability was affected by increased cost of sales (by 7%), going forward we will focus our energies on minimizing our production cost, improve operational efficiencies, stream line our procurement processes and implement a wide range of costs containment measures.

To build a sustainable basis for future operations for the company, substantial capital commitments were undertaken and others will be initiated to address operational inefficiencies, waste and increase capacity utilization. I am confident that these initiatives will translate into future suitable value for you in the foreseeable future.

Dividends

Our overall cash position at the end of June 2011 was 563million from Sh 952million in prior year. In line with its expansion and modernization programme in the corporate strategy, the Company invested Sh 0.5 billion during the year. The focus of the Board and Management is to use internally generated funds to finance the contracted and planned heavy capital commitments to enable the company gain market share and competitive edge. During the year the Company returned to profitability in light of measures taken to curb operational inefficiencies and cost containment. As a result the Board is pleased to recommend a first and final dividend of Sh 0.50 per share.

Our Focus

Due to inflationary pressures and Economic Challeng-

es, consumers have become more price conscious. Pricing has emerged as a weapon for a market share in the cement sector. Increased cement stocks in the market due to fresh capacity from the new entrants and production enhancements by existing players has set the stage for price wars giving rise to eroded market share for every cement player. As EAPCC we will continue to aggressively focus on value addition activities, grow and restructure our business model in our regional market frontiers. In this regard to consolidate our position as a regional player, the Company established a subsidiary company in Uganda from 1st July 2011.

We will also continue to focus on strong cash management position and diversification of our revenue base in line with our vision and mission.

Taxation

As a good corporate citizen, EAPCC is committed to paying taxes promptly as required by law. During the year under review, the company paid in excess of Sh 1.34 billion in both direct and indirect taxes to the exchequer.

HIV/Aids

We are committed to undertake programmes and activities that shall create awareness amongst staff and community, to embrace positive behavior change so as to reduce the negative impact of the HIV pandemic on our society. We have strengthened the Peer Educators team so that we can roll out our HIV/AIDs initiatives to our key third party suppliers and contractors.

Corporate Social Responsibility

EAPCC recognizes the fact that good corporate citizenship is not only putting in place sound business strategies, making impressive profits, paying good salaries and making tax returns. It is about creating partnership with the community and ensuring both parties benefit from the co-operation.

We therefore have put in place a comprehensive Corporate Social Responsibility programme, through which we share our gains with communities that make operations possible by being good neighbors and customers. By devoting more resources annually to CSR, we powerfully demonstrate our commitment to building a strong partnership with local communities. Our social agenda is evident in our involvement in projects, such as education, sports, water, famine relief and environmental conservation.

CHAIRMAN'S STATEMENT (continued)

Corporate Governance

The company continues to believe in the importance of good governance and sees it as an imperative to our business at all levels. The Board has in place a charter. The code of business ethics is the emphasis that each employee needs to fully understand corporate behavior expectations, compliance with work ethics and regulatory expectations. We will continue to identify with and share best practice across the entire company structure.

Organizational Effectiveness and Efficiency

We will continue to reorganize for better effectiveness in the coming year, and we will improve on our efficiency within the business so that overheads are kept under control whilst good governance and compliance will remain uncompromised. We also envision a faster and better approach to doing business to drive execution and speed to market and to this end the company will be looking to restructure its management organization in the current year.

In regard to planned government divestiture from EAPCC Ltd, the Board of Directors wishes to assure all shareholders and other stakeholders including staff that our Company's status quo remains intact until the planned divestiture process comes to its logical conclusion through government procedures.

Energy

Cement production is energy intensive. Energy costs in East Africa account for up to 50 per cent of total production costs while in countries like Egypt, India, Pakistan and China production costs are inherently lower since key inputs in the power and fuel for industries are subsidized by governments. This makes the region a lucrative market for imports.

The coal milling plant was commissioned in December 2010. By switching to coal, the objective was to cut back on fuel oil use and electricity as main sources of energy. This led to a significant reduction in energy costs by 35 percent. In this regard going forward, the Company will achieve a more sustained profitable path in the foreseeable future.

Yen-denominated Loan

As indicated at the last AGM, to guard against the persistent negative impact of the Yen loan, the Company hedged 25% of the Loan and will continue to explore other available options with a view to protecting itself from the impact of the volatility of the Kenya shilling and to

mitigate the Asset /Liability mismatch and adverse foreign exchange exposure.

Outlook

We continue to believe that the building sector offers long-term prospects, under pinned by the significant infrastructure deficit and housing short fall; as evidenced by the low per capita cement consumption of 89kg per person.

We will closely monitor the changing regulatory frameworks in the regional trading blocs and the imminent threat of cement imports from subsidized sources. Looking forward, the implementation of the East African Community (EAC) common market protocol is expected to result in infrastructure expenditure receiving attention as countries seek to improve the flow of trade between member states.

We also anticipate that government will intervene to address business challenges of energy and transport infrastructure and other economic and social challenges. As a company we are prepared to deliver value to our shareholders and other stakeholders.

The Board

During the year, the Board remained largely unchanged.

Appreciation

I would like to record my sincere gratitude to you shareholders for the support you have continued to provide to your Company. I would also like to recognize the contribution of the Board for their vision, dedication to the Company and unity of purpose.

I also congratulate the entire management and staff of East African Portland Cement Company Ltd for their commitment and hard work that has successfully positioned us for the challenges and opportunities that lie ahead. I urge you to redouble your efforts.

Lastly, I would like to extend my gratitude to all our business partners and customers for their loyalty and unwavering support.

Mark ole Karbolo

Chairman

27 October 2011

Managing Director's

Business Review



Demand for cement has been increasing in Kenya and the East African region. This trend is likely to be sustained for long owing to ensuing reconstruction of the neighboring countries of New Southern Sudan, Rwanda and Burundi, who are emerging from years of civil strife and ethnic conflict.

Kephah L. Tande
Managing Director

FINANCIAL PERFORMANCE 2010/2011

Performance

Due to the strong demand of cement which led to increased volumes, overall sales revenue grew by 8% while export sales grew by 15%. The cost of sales went up by 7% mainly due to the increase in the purchased clinker occasioned by the shut-down of the Kiln to facilitate the tie-in with the new coal dosing plant. Gross profit increased by 17% compared with prior year on the back of tighter cost controls and the benefit of using coal for part of the year.

Profit from operating activities improved over previous year by over 700 per cent from Sh. 90 million to Sh. 653 million. This was mainly due to improved productivity initiatives, improved operational efficiencies and cut back on fuel oil by switching to coal as the main source of energy hence the significant 35% over prior year. However, the weakening of the Kenya Shilling against the Japanese Yen led to the unrealized exchange loss of Sh. 656 million compared to Sh. 451 million last year. A tax credit of Sh. 680 million was transferred from deferred tax liability following the commissioning of the coal-firing plant. The net profit after tax was Sh. 561 million compared to a loss of Sh. 284 in the prior year.

Cash Flow

Despite better performance in operations and effective working capital management the overall cash position at the end of June 2011 was below prior year by 40%. This was due to the high interest and the increased loan repayment following the depreciation of the Kenya shilling against the Japanese Yen.

Corporate Strategy

Demand for cement has been increasing in Kenya and the East African region. This trend is likely to be sustained in the foreseeable future owing to reconstruction efforts by all countries in the region. The new Republic of South Sudan, Rwanda and Burundi all emerging from years of civil strife and ethnic conflict. There are also the promising markets of Western Uganda and Ethiopia.

The Company has experienced challenges in maintaining competitiveness in the face of increasing costs. In response the Company is seeking to achieve business turnaround through Culture and Behaviour Change Programme and to create demand than supply driven business model, including

regional markets in pursuant of sales in Burundi, Sudan, Uganda and DRC. Blue triangle brand has long history in the East African region hence the aggressive promotion of blue triangle brand.

Our Core Value System

As a Company, the Practice of ethical behavior will continue to be upheld at all times. Good behaviour shapes individual character and reflects on the reputation of the Company. In this regard staff have committed to embrace a culture of timeliness, innovativeness, customer focus, teamwork, integrity and commitment as a way of life. These core values are regarded as important to the commitment of company's vision and mission.

To this end during the year, the company continued to implement the Behavioural and Cultural change program involving all employees, management and Board of Directors. This programme is considered a key driver of the Paradigm Shift initiative and implementation of the Company's strategic plan 2010-2015

Quality Management Processes

The benefits of ISO certification (ISO 9001:2008 series) in June 2009 have continued to be realized by the Company. Research and development on alternative fuels which will yield result in the near future has been enhanced.

New Integrated System

During the year under review, the Company implemented a new integrated business system (ERP) – Oracle JDE. The system went live on 1 December 2010 and was fully implemented in the second half of the year. The intended benefits of enhanced internal efficiencies in Technical, Commercial and Key service departments of the company are being realized together with better tracking of resource management. Going forward, improved productivity, profitability and growth of the company are envisioned.

Training

EAPCC trains its employees on a continuous basis to keep them up-to-date with skills and enhance the Company's efficiency. Over 200 employees were trained in the last financial year in a variety of courses. In the area of ICT, the Company's staff received training to bring them into line with the

MANAGING DIRECTOR, BUSINESS REVIEW (continued)

recently installed ERP system, which is designed to eliminate the paper trail in internal bureaucracy. The Company has withdrawn printers from all but essential offices to support this policy. The policy has been greatly successful and helped the Company cut cost.

Other areas where staff received training include Talent Management, the Management Development Program for Executive Assistants, Energy Management, Corporate Culture Change and Transformation and Performance Automation. The Company also facilitates on-the-job training and higher education for supervisors and managers at such prestigious local institutions as the Strathmore Business School and overseas.

Risk Management

The company's operations and earnings are subject to various risks relating to the changing competitive, economic, political, legal, social, industry, business and financial conditions. These risks the company to a variety of financial risks, including credit risk and the effects of changes in debt and equity market prices, foreign currency exchange rates and interest rates. The company's overall risk management programme focuses on the unpredictability of financial markets and seeks to minimize potential adverse effects on its financial performance as follows:

Risk management is carried out by the finance department under policies approved by the Board of Directors. Finance identifies, evaluates and hedges financial risks. The Board provides written principles for overall risk management, as well as written policies covering specific areas such as foreign exchange risk, interest rate risk, and credit risk, use of non-derivative financial instruments and investing excess liquidity.

We also take a risk based approach to internal control. The management team is responsible for implementing, operating and monitoring the system of internal control, which is designed to provide reasonable, but not absolute, assurance of achieving business objectives. Related requirements are set out in the Corporate Risk Management Manual, which describes the methodology to be followed to manage risks to objectives. Our control framework is supported by a set of risk-based standards; these

establish rules and instructions on enterprise-wide risks that require common treatment.

We have a variety of processes for obtaining assurance on the adequacy of risks management and internal control, including:

- A structured process to identify and review risks for the achievement of corporate objectives
- A risk-based audit of the company's operations and systems
- A business control incident reporting and provisioning process
- An ethics and compliance program

The established mechanisms allow the Board, via its Audit Committee, to regularly consider the overall effectiveness of the internal control system and to perform a full annual review.

Future Outlook

Despite the current inflationary challenges and the decline in the value of the Kenya shilling, market demand for cement remains strong and the Company expects improved production and sales volume in the coming year.

The Company hedged 25% of Yen loan and will continue to explore other available options. The Coal firing plant which was commissioned in December 2010 had lowered energy costs and will impact positively on the Company's future earnings. To address the long-term clinker requirements, a feasibility study for a new kiln had been commissioned while the Kiln upgrade project will commence in the second half of this year. This will help mitigate cement production cost by reducing imported clinker and instead increase use own produced clinker.

Corporate Social Investment

EAPCC has continued to touch lives and hearts of many in our immediate community in line with our corporate philosophy of holding life together. Through various implemented projects we believe in empowering the local communities with the desire to make the projects self-sustaining.

Safety Health and Environment

Safety is a priority for EAPCC and the year saw a great improvement in performance as measured by incidence occurrences. We engaged training across the business sensitizing staff on safety

MANAGING DIRECTOR, BUSINESS REVIEW (continued)

measures and practices within EAPCC which was also extended to our customers, suppliers and contractors who have embraced our safety policies.

The Company decided to adopt a strategy (OHSAS 18001:2007) in November 2008 to prevent accidents and ill-health in the workplace. The OHSAS 18001:2007 is an international standard covering the occupational Health and Safety (OH&S) management system which provides organizations with the elements of an effective OH&S system that can be integrated with other management requirements and help organizations achieve OH&S and economic benefits. During the year the Company attained certification by KEBS.

The company has thus embarked on a more proactive approach in addressing Safety, Health and Environment throughout its operations with the aim of managing projects to ensure compliance with the environmental management coordination Act of 1999. Regular Safety, Health and Environmental Audits and training are carried out.

Our priorities in 2011/12

- Improve productivity and optimal capacity utilization.
- Invest in technology, research and processes in order to support business growth.
- Cost containment initiatives, stringent waste management and innovation to help keep costs down

- Aggressive risk management and value addition initiatives
- Develop our talent and leadership capability.
- Achieve 100% Key Objectives as derived from the strategic plan 2010/2015 using the Balance Score Card Implementation tool
- Employ Service delivery innovations to improve customer service turnaround.

I would like to thank our customers, shareholders and other stakeholders for their support and our staff for their tremendous efforts during the year. I am very confident that we will deliver strong performance and build a long-term sustainable business in this country.

Thank you

Kephar L. Tande
Managing Director

27 October 2011



Experience 3 in 1 PLASTERING

...of Blue Triangle Cement

We know you value a bright plastering finish.

So for over 75 years we have selected and blended raw materials and followed stringent quality control procedures in manufacturing of Blue Triangle Cement.

We have perfected our cement with a 3 in 1 action that is uncompromising in durability, strength and bright plastering finish, making Blue Triangle the ultimate cement for all your construction needs.



A quality product from East African Portland Cement Company

strong.durable.bright

CORPORATE
SOCIAL RESPONSIBILITY

CSR



EAPCC's CSR Policy

For the East African Portland Cement Company (EAPCC), the meaning of Corporate Social Responsibility (CSR) is conducting business in ways that produce social, environmental and economic benefits for the communities in which it operates in and for the Company's stakeholders. EAPCC works hard to live up to this ideal. The Company regularly holds meetings with community leaders, government officials, and employee groups to gather information about important local needs and develop initiatives to build stronger, healthier relationships with the communities.

The Company also receives various requests for assistance from stakeholders which are reviewed carefully and addressed in a manner that maximizes the benefit to the community with the resources available.

EAPCC's CSR Policy Pillars

- Community Development and Economic Advancement
- The Environment
- Employees and the Workplace

Community Development and Economic Advancement

Water

The Company has been active at Kabini Hill for over five decades. In this time, EAPCC has established solidly good relations with the local community. The presence of EAPCC in the region is important to the local community due to various life-sustaining projects undertaken by the Company. The local community is a pastoralist community in an arid environment. To facilitate ease of access to water, the Company has dug 5 boreholes and 5 dams in the region. In the last financial year, these were rehabilitated to ensure the community continues to have access to water at all times.



SAFELY RE-SETTLED: Shekeine Siiyo (centre, arm outstretched, holding keys), the Community Liaison Officer hands over the new house to the Siiyo family as friends and other staff of EAPCC look on

Safety

The family of Shekeine Siiyo, a livestock farmer at Kabini, was relocated by EAPCC to a region further away from the Kabini Quarry where blasting operations occur on a daily basis. The blasting used to cause discomfort to the family and raised concerns as well for the stability of their house. The Company built a brand new modern home that is not only going to stay stable but significantly assures a high living standard for the Siiyo family.

Education

EAPCC places a premium on education. Education is particularly important to the Company because it benefits society at large and the Company in particular by providing the highly qualified personnel it needs to run its complex operations and various sophisticated machinery used in the manufacture of its world-class cement.

In the last financial year, Gathuthiini Primary School in Kagio, Kirinyaga District, has benefited from an investment in a brand new, ultra-modern ablution block for both students and teachers. Before, the students were forced to use rundown facilities which posed a health and safety hazard. With the new facilities, the students can now enjoy bathroom services in dignity and hygiene. Furthermore, the Company is sponsoring four bright but disadvantaged students from the school through several national secondary schools.

In the just completed financial year, EAPCC recognized that the residents of the greater Kajiado Central area, who are mainly pastoralists, were hard-hit by the drought, leading to the loss of countless livestock and eradicating the communities' earning power.



THREE CHEERS FOR DIGNITY AND HYGIENE: The Chairman EAPCC, Mr. Mark ole Karbolo (left), and the PS, Ministry of Industrialization, Dr. Karanja Kibicho, celebrate with the excited pupils of Gathuthiini Primary School on the ground-breaking of their new modern ablution block

Corporate Social Responsibilities (continued)



The Nursery

The effect of the drought had already trickled into the education sector as the parents could not afford to pay fees for their children and more children were being pulled out of schools.

The Company intervened and donated a bursary fund worth KSh1,500,000 to needy students in the greater Kajiado Central area.

This is on top of the annual Sh500,000 bursary to the Kabini Hill community.

The Environment

EAPCC has invested in water sources for the water-scarce area of Kabini. These are boreholes and dams which are regularly maintained by the Company for the benefit of the local community.

The Company has also invested in Kasoito Village community access to water by laying pipes to their homes.

The Company supports the tree-planting campaign that was spearheaded by the late Prof. Wangari Maathai. The firm maintains a well-established and developed nursery, where indigenous seedlings, suitable to different climates, are nurtured before distribution.

In the last financial year, the Company donated 2,000 indigenous seedlings to staff, which they planted in various locations. The Company also donated 500 seedlings to surrounding schools and 1,200 seedlings were donated to the Kenneth Marende Environmental Conservation Program to help restore degraded water catchment areas such as Mau Forest.

Employees and the Workplace

EAPCC has a comprehensive policy to take care of its employees and their dependants and surrounding communities in terms of health and safety.



A JAB IN TIME: Staff and their dependants receiving an influenza vaccine at the Company's Dispensary

Health

During the financial year various initiatives have been undertaken by the organization towards the realization of better healthcare. Aggressive campaigns such as the Anti-cholera drive and influenza immunizations were conducted not only for staff members but also for their families.

Safety

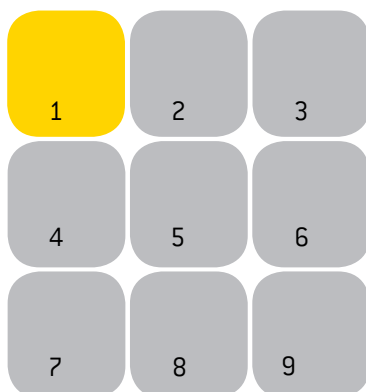
In November 2010, the Company attained the prestigious Occupational Health and Safety Assessment System OHSAS 18001: 2007. This was in recognition of the fact that EAPCC has in place highly developed procedures to identify hazards and risks and control, minimize or eliminate them.

On 29th April, an extensive fire drill, the first of its kind, was conducted in collaboration with G4S, Morrison Engineering, the Mavoko Municipal Council and the Kenya Police at EAPCC to test the Company's emergency procedures and ensure that EAPCC is able to respond to serious emergencies.

Kenyans for Kenya

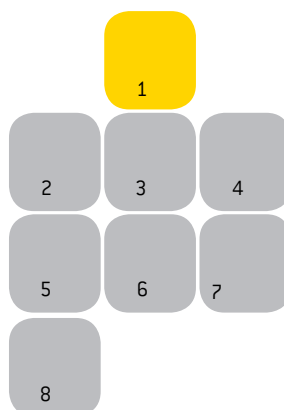
In a show of solidarity with the nation during the ongoing famine crisis, the EAPCC reached into its reservoirs of generosity and presented a cheque for Sh1.5 million to the Red Cross Society to add to its kitty for helping the affected. The staff was not to be left behind, with many of them donating various amounts to the Red Cross directly. They also organized a donation drive amongst themselves which netted Sh80,000 on top of the Sh1.5 million donated by the Company.

Board of Directors



1. Mark K ole Karbolo (*Chairman*)
2. Kephah L Tande (*Managing Director*)
3. Dr. Eng. Karanja Kibicho (*Director*)
4. J.K. Kinyua (*Director*)
5. Dr. T Naikuni (*Director*)
6. Alex Kazongo (*Director*)
7. David Koros (*Director*)
8. KHW Keith (*Director*)
9. JLG Maonga (*Company Secretary*)

Management Executive Team



1. Keph L Tande (*Managing Director*)
2. Kananga M'nchebere (*Head of Production*)
3. Rosemary K Gituma (*Ag. Head of Financial Management*)
4. Stephen Kamau (*Head of Human Resources*)
5. Peter Korir (*Head of Strategy & technology Development*)
6. Stephen Nthei (*Head of Internal Audit and Risk Management*)
7. Jack Chebett (*Ag. Head of Sales and Marketing*)
8. Stephen Busienei (*Ag. Finance Manager*)

STATEMENT ON CORPORATE GOVERNANCE FOR THE YEAR ENDED 30 JUNE 2011

Corporate governance deals with the way companies are led and managed, the role of the Board of Directors and a framework of internal controls. The Board of East African Portland Cement Company Limited is committed to upholding high standards of corporate governance.

The Board

Composition of the Board is set out on page 20

The Board is made up of the chairman, Managing Director and five independent non-executive directors. All non executive directors are independent of management. All directors are subject to periodic re-appointment in accordance with the Company's Articles of Association. On appointment, the directors receive an induction covering the company's business and operations. The directors are advised of the legal, regulatory and other obligations of a director of a listed company. All of the directors have access to the Company Secretary who is responsible for ensuring that Board procedures are followed and that applicable laws and regulations are complied with. The directors responsibilities are set out in the statement of Directors responsibilities on page 28.

The full Board meets regularly, at least four times a year, and has a formal schedule of matters reserved for it. The directors receive appropriate and timely information so that they can maintain full and effective control over strategic, financial, operational, compliance and governance issues.

Except for direction and guidance on general policy, the Board has delegated authority for the conduct of day to day business to the Managing Director and the Management Committee. The Board however, retains responsibility for establishing and maintaining the Company's overall internal control of financial, operational and compliance issues as well as monitoring the performance of the executive management. The roles of the Chairman and the Managing Director are clearly delineated and have been approved by the Board.

The Board members have a wide range of skills and experience and each brings an independent judgment and considerable knowledge to the Board discussions. The Board recognizes that at the core of the corporate governance system, it is ultimately accountable and responsible for the performance and affairs of the company. Towards this end the directors in fulfillment of their fiduciary duty act always in the best interest of the company and shareholders. The Board understands the significance of corporate governance and continuously strives to provide competitive strategic leadership. The Board also works through the various sub committees – Board Audit Committee, Board Technical Committee, Board Human Resources and Remuneration Committee and Tender and Procurement oversight committee. The Committees have freedom to co-opt expert assistance as necessary. The Board conducts a Board evaluation annually to determine its strengths and effectiveness as a Board, as well as the effectiveness of individual directors.

The following table shows the number of Board meetings held during the year and the attendance of individual directors.

Director	Board (scheduled)	Board (Special)	AGM
	6	3	1
Chairman	6	3	1
Managing Director	6	3	1
Ps Treasury	2	1	-
Ps Ministry of Industrialization	5	3	1
NSSF	3	3	1
Dr. T Naikuni	5	3	1
Mr. K H W Keith	5	1	-
Mr. D Koros	6	3	1
Mr. J L G Maonga	6	3	1

Experts and business representatives are invited on a need – basis.

During the year nine meetings were held.

The Board is of the opinion that there is a balance between independent executive and non-executive directors as required by clause 2.1.4 of the Guidelines on Corporate Governance Practices by Public Listed Companies in Kenya.

Delegation of Authority

Board Sub Committees

The Board has three Sub Committees with specific delegated authorities. These are Board Audit Committee, Board Technical, Board Human Resources and Remuneration Committee, and Board Tender and Procurement oversight while Management has Executive Management Committee and Management Tender Committee.

The Board committees assist the Board in discharging its responsibilities. The committees have clear defined roles and terms of reference and charters that have been approved by the Board. The committees are chaired by non-executive directors.

Details of these committees and membership are shown below.

Board Audit Committee

The Committee meets at least four times a year and held five(5) meetings during the year.

Role

The Committee receives reports on the findings of the internal and external audits and on action taken in response to these. In addition, the Committee regularly reviews and reports to the Board on the effectiveness of the Company's system of internal control. The external auditors have unrestricted access to the Managing Director and Chairman of Audit Committee which ensures that their independence is in no way impaired.

STATEMENT ON CORPORATE GOVERNANCE (CONTINUED)

Other responsibilities of the Committees are:

- To nominate external auditors for appointment by shareholders
- To review the financial reports
- To oversee management of all risks of the company including Financial risk, credit risk, liquidity risk, reputation risk, legal risk, regulatory and compliance risk.
- The committee is responsible for ensuring that there are written policies, procedures and processes for identifying and managing the risks.

The members of the Committee are:

Mr. A Kazongo (representing NSSF)	Chairman
Dr. T Naikuni	
Permanent Secretary	Treasury
Mr. K H W Keith	
Mr. D Koros	
Mr. J L G Maonga	Secretary
External Auditors	
Head of Financial Management	
Head of Internal Audit & Risk Management	

***Experts and business representatives are invited on a need-basis.**

Board Technical Committee

The committee has four scheduled meetings each year and receives reports on all aspects of risk management. During the year four(4) meetings were held.

Role

The Board has delegated authority to the Board Technical Committee to oversee the Company's capital expenditure plans, Marketing strategies, Technology and Research. It also reviews proposals for capital developments. In addition the committee appraises capital budgets for all hardware and software purchases for recommendation to the Board.

The members of the committee are:

Dr. T Naikuni	Chairman
Permanent Secretary	
Ministry of Industrialization	
Permanent Secretary Treasury	
A Kazongo	Representing NSSF
Mr. Kephlar L Tande	Managing Director
Mr. J L G Maonga	Secretary

***Experts and business representatives are invited on a need-basis.**

Board Human Resources and Remuneration Committee

The committee has four scheduled meetings during the year. The committee is responsible for monitoring and appraising the performance of senior management, including the Managing Director, reviewing of all human resources policies, determining the remuneration of senior management and making recommendations to the board on suitable candidates to fill senior management vacancies and the remuneration of non-executive directors.

During the year nine(9) meetings were held.

The Members of the Committee are

Permanent Secretary Ministry Of Industrialization	
Mr. A Kazongo	Representing NSSF
Mr. Kephlar L Tande	Managing Director
Mr. K H W Keith	
Mr. D Koros	
Mr. J L G Maonga	Secretary

Board Tender and Procurement oversight committee

Board Tender and Procurement oversight committee was constituted on

8 July 2010. Meetings to be held at least four times a year.

Role

- To consider and approve all the annual procurement plans prepared by Tender and Procurement Committee prior to submission to the Board.
- To receive and discuss all the quarterly procurement reports before they are submitted to the Board.
- To guide Tender Committee as necessary.
- To deal with any other procurement issues that may come from time to time.
- To ensure it is operating at maximum effectiveness and recommend any changes it considers necessary to the Board for approval.

The members of the committee are

Mr. K H W Keith	Chairman
Permanent Secretary	
Ministry of Industrialization	
Mr. A Kazongo	Representing NSSF
Mr. J L G Maonga	Secretary
Mr. Kephlar L Tande	Managing Director

During the year two(2) meetings were held.

Management Committee

The Management Committee is the link between the Board and management. The committee assists the Managing Director in giving overall direction to the business. The Committee is responsible for the implementation of operational plans and the annual budgets. It is also responsible for the periodic review of operations, strategic plans, proposals, identification and management of key risk and opportunities. The Committee also reviews and approves guidelines for employees' remuneration. The committee meets at least once a week.

Tender Committee

The committee meets weekly or as required and its composition and responsibilities are as per the company's procurement policies, Public Procurement and Disposal ACT 2005 and the Public Procurement and Disposals Regulations, 2006. There is also a Disposal Committee responsible for the disposal of the company's significant non-operating assets.

Directors' remuneration and loans

The remuneration of all directors is subject to regular review to ensure that levels of remuneration and compensation are appropriate. Neither at the end of the financial year, nor at any time during the year did there exist any arrangement to which the company is a party, whereby directors might get benefits by means of acquisition of the company's shares. Information on aggregate amount of emoluments and fees paid to directors are disclosed in note 35 of the financial statements

Board Performance Evaluation

Under the guidelines issued by the Ministry of Industrialization Board charter and CMA, the Board is responsible for ensuring that a rigorous evaluation is carried out of its performance, and that of its committees and individual directors. The evaluation is conducted quarterly and annually and the results of the evaluation are provided to the Ministry of Industrialization and office of the President on Performance contracting.

Going concern

The Board confirms that it is satisfied that the Company has adequate resources to continue in business for the

Internal controls

The Board has a collective responsibility for the establishment and maintenance of a system of internal control that provides reasonable assur-

STATEMENT ON CORPORATE GOVERNANCE (CONTINUED)

ance of effective and efficient operations. However, it recognizes that any system of internal control can provide only reasonable and not absolute assurance against material misstatement or loss.

The Board attaches great importance to maintaining a strong control environment and the company's system of internal controls includes the assessment of non financial risks and controls. The Board has reviewed the Company's internal control policies and procedures and is satisfied that appropriate procedures are in place.

The Company's business is conducted within a developed control framework, underpinned by policy statements, written procedures and control manuals. This ensures that there are written policies and procedures to identify and manage risk including operational risk, liquidity risk, regulatory risk, legal risk, reputational risk, market risk and credit risk. The Board has established a management structure, which clearly defines roles, responsibilities and reporting lines. Delegated authorities are documented and communicated.

The performance of the Company is reported regularly to its management and the Board. Performance trends, forecasts as well as actual performance against budgets and prior periods are closely monitored. Financial information is prepared using appropriate accounting policies, which are applied consistently. Operational procedures and controls have been established to facilitate complete accurate and timely processing of transactions and the safeguarding of assets. These controls also include the segregation of duties, the regular reconciliation of accounts and the valuation of assets and positions.

All employees have a copy of this Code of Ethics and are expected to observe high standards of integrity and fair dealing in relation to customers, staff and regulators in the communities in which the Company operates. This forms part of a Company's compliance structure, which sets policies and standards for compliance with rules, regulations and legal requirements.

The Board will continue to play its role effectively under corporate governance structure. The non executive director will maintain oversight on management of the company through board meetings as well as various board committees.

Relations with shareholders

The Board recognizes the importance of good communications with all shareholders. The Annual General Meeting (AGM) as well as the published annual report are used as an opportunity to communicate with all shareholders. The Company always gives shareholders the 21 days notice of the AGM as provided for in the Kenyan Companies Act and shareholders are encouraged to submit questions and also appoint proxies to represent them where they are unable to attend. Ad hoc shareholder requests for information are handled on an on-going basis and also on the floor of the AGM.

In upholding and protecting shareholders' rights, the Board recognizes that every shareholder has a right to participate and vote at the general shareholders meeting. The Board also allows share-

holders to seek clarity on the Company's performance in general meetings.

The Board has engaged the services of a professional Registrar to allow for quick responses to all shareholder queries and smooth transfer of shares.

Skills and experience of the Board

Our Directors have among other attributes the following skills and experience.

- Corporate governance
- Information and Communication Technology
- Diverse age profiles
- Cement industry experience
- Diverse and Complementary skills

Code of Conduct

The Board has approved a Code of Ethics, which sets out the Company's core values relating to the lawful and ethical conduct of business.

Directors retire by rotation annually, and if eligible their names are submitted for re-election in the annual general meetings.

Also all director appointments are subject to confirmation by shareholders at the annual general meeting. In addition to the induction program for new directors there are specific training workshops that our directors participate that are accredited by the Center for Corporate Governance.

Interaction with Management

The EAPCC Board has a high level of regular interaction with management thereby enabling directors to infuse their considerable experience, professional knowledge of the target market into the strategic direction. There is a policy of open communication between Board and Management and this ensures that the board is fully informed of major matters concerning EAPCC and its business. A procedure further allows for directors to suggest additional items for discussion at meetings and to call for additional information or a briefing on any topic prior to the meeting.

During the year 2010 /2011, the membership of the Board Committees was reviewed in line with the requirements of the Board charter which provides that committee memberships and chairs be reviewed annually. The Board also in addition has an ad-hoc Committee that assists the Board in Legal Matters.

COMMUNICATION

The Board is satisfied that decision – making capability and the accuracy of its reporting and financial results are maintained at a high level at all times to ensure adequate disclosure and transparency. The Board relies on the external Group of Auditors and Audit Committee to raise any issues of financial concern.

CORPORATE GOALS**ENVIRONMENT, HEALTH & SAFETY**

The company is committed to protecting the health and safety of all individuals affected by its activities, including employees,

STATEMENT ON CORPORATE GOVERNANCE (CONTINUED)

contractors and the public. We emphasize environmental protection and stewardship and recognize that pollution prevention, biodiversity and resource conservation are key to a sustainable environment. We effectively integrate these concepts into our business decision – making.

STAKEHOLDER RELATIONS

We Endeavour to engage stakeholders clearly, honestly and respectfully, and are committed to timely and meaningful dialogue with all of them.

BOARD COMMITTEE MEMBERSHIP

Director	Classification	Designation	Audit Committee	Technical Committee	Human Resources and Remuneration Committee	Tender and Procurement oversight committee
PS Treasury	Non executive		√	√		
PS Ministry Of Industrialization	"	Chairman HRRC		√	√	√
NSSF	"	Chairman Audit Committee	√	√	√	√
Managing Director	Executive			√	√	√
D Koros	Non Executive – Independent		√		√	
Dr. T Naikuni	"	Chairman Technical Committee	√	√		
Mr. K H W Keith	"	Chairman Tender and Procurement oversight	√			√

THE BOARD AND STATUTORY INFORMATION

Directors

Mark ole Karbolo
Kephars L Tande
Dr. Eng. Karanja Kibicho
J K Kinyua
National Social Security Fund
Dr. T Naikuni
D Koros
K H W Keith

Chairman
Managing Director
(Alternate Eng. J Mosonik)
(Alternate – J Kinyanjui)
Represented by A Kazongo

Secretary

J L G Maonga
Certified Public Secretary (Kenya)
P.O. Box 73248-00200

NAIROBI**Auditors**

Ernst & Young
Kenya Re-towers
Upper Hill, Off Ragati Road
P.O. Box 44286-00100

NAIROBI**On Behalf of**

The Auditor General
P.O. Box 30084 – 00100

NAIROBI**Registered Office**

L R 337/113/1
Namanga Road, off Mombasa Road
P.O. Box 20-00204

ATHI RIVER**Registrars and Transfer Office**

Haki Registrars
P.O. Box 40868 – 00100

NAIROBI**Bankers**

Kenya Commercial Bank Limited
Standard Chartered Bank Kenya Limited
Standard Chartered Bank Uganda Limited
The Co-operative Bank of Kenya Limited
Barclays Bank of Kenya Limited
CFC Stanbic Bank Kenya Limited
Citi Bank N.A. Kenya Branch

Board Sub Committees**Board Audit Committee**

A Kazongo	Chairman
Dr. T Naikuni	
J K Kinyua	
D Koros	
K H W Keith	
J L G Maonga	Secretary

Board Technical Committee

Dr. T Naikuni	Chairman
J K Kinyua	
Dr. Eng. Karanja Kibicho	
A Kazongo	Representing NSSF
Kephars L Tande	Managing Director
J L G Maonga	Secretary

Board Human Resources and Remuneration Committee

Dr. Eng. Karanja Kibicho	Chairman
A Kazongo	Representing NSSF
D Koros	
Kephars L Tande	Managing Director
J L G Maonga	Secretary

Board Tender and Procurement oversight committee

K H W Keith	Chairman
Dr. Eng. Karanja Kibicho	
A Kazongo	Representing NSSF
Kephars L Tande	Managing Director
J L G Maonga	Secretary

Management Executive Team

Kephars L Tande	Managing Director
Kananga M N'chebere	Head of Production Operations
Rosemary K Gituma	Ag. Head of Financial Management
Stephen Kamau	Head of Human Resource Management
Peter Korir	Head of Strategy & Performance Improvement
Charles Kaloki	Head of ICT
Salim Daghar	Technical & Engineering Projects Manager
Stephen Nthai	Head of Internal Audit & Risk Management
Jack Chebett	Sales Manager
Stephen Busienei	Ag. Finance Manager

REPORT OF THE DIRECTORS

The directors present their report together with the audited financial statements of the company for the year ended 30 June 2011.

1. PRINCIPAL ACTIVITIES

The principal activity of the company is the manufacture and sale of cement.

2. RESULTS

The results for the year are set out on page 33.

3. DIVIDENDS

Subject to the approval of the shareholders at the annual general meeting, the directors recommend that a first and final dividend of KShs 0.50 per share be paid for the year ended 30 June 2011.

4. DIRECTORS

The current board of directors is shown on page 20. The following changes have taken place since 1 July 2010:

- On 22 July 2010, Eng John Nyambok resigned as Managing Director and Mr Kephah Tande was appointed acting Managing Director with effect from 23 July 2010. He was later confirmed to the position on 16 November 2010.

5. AUDITORS

The Auditor General is responsible for the statutory audit of the company's books of account in accordance with Section 14 and Section 39(i) of the Public Audit Act, 2003, which empowers the Auditor-General to nominate other auditors to carry out the audit on his behalf.

Ernst & Young were nominated by the Auditor-General to carry out the audit for the year ended 30 June 2011.

By Order of the Board



JLG Maonga
Secretary

Nairobi

27 October 2011
Date

STATEMENT OF DIRECTORS' RESPONSIBILITIES
ON THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 30 JUNE 2011

The Kenyan Companies Act requires the directors to prepare financial statements for each financial year, which give a true and fair view of the state of affairs of the company as at the end of the financial year and of the operating results for that year. It also requires the directors to ensure the company keeps proper accounting records which disclose, with reasonable accuracy, the financial position of the company. They are also responsible for safeguarding the assets of the company.

The directors accept responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgements and estimates, in conformity with International Financial Reporting Standards and the requirements of the Kenyan Companies Act. The directors are of the opinion that the financial statements give a true and fair view of the state of the financial affairs of the company and of its operating results. The directors further accept responsibility for the maintenance of accounting records, which may be relied upon in the preparation of financial statements, as well as adequate systems of internal control.

Nothing has come to the attention of the directors to indicate that the company will not remain a going concern for at least the next twelve months from the date of this statement.

Mark Ole Karbolo
Chairman

Kephar L. Tande
Managing Director

27 October 2011
Date



Experience 3 in 1 FOUNDATION

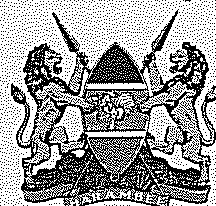
...of Blue Triangle Cement

We know you value a strong building foundation.

So for over 75 years we have selected and blended raw materials and followed stringent quality control procedures in manufacturing of Blue Triangle Cement.

We have perfected our cement with a 3 in 1 action that is uncompromising in durability, strength and bright plastering finish, making Blue Triangle the ultimate cement for all your construction needs.





KENYA NATIONAL AUDIT OFFICE

REPORT OF THE AUDITOR-GENERAL ON THE FINANCIAL STATEMENTS OF EAST AFRICAN PORTLAND CEMENT COMPANY LIMITED FOR THE YEAR ENDED 30 JUNE 2011

The accompanying financial statements of East African Portland Cement Company Limited set out at pages 32 to 86 which comprise the Statement of Financial Position as at 30 June 2011, the Statement of Comprehensive Income, the Statement of Changes in Equity and the Statement of Cash Flows for the year then ended, and a summary of significant accounting policies and other explanatory information have been audited on my behalf by Ernst & Young, auditors appointed under Section 39 of the Public Audit Act, 2003. The auditors have duly reported to me the results of their audit and on the basis of their report, I am satisfied that all the information and explanations which, to the best of my knowledge and belief, were necessary for the purpose of the audit were obtained.

Management's Responsibility for the Financial Statements

The Management is responsible for the preparation and fair presentation of the financial statements in accordance with the International Financial Reporting Standards and for such internal controls as management determines is necessary to enable the preparation of the financial statements that are free from material misstatement, whether due to fraud or error.

Responsibility of the Auditor-General

My responsibility is to express an independent opinion on the financial statements based on the audit. The audit was conducted in accordance with the International Standards on Auditing. Those standards require compliance with ethical requirements and that the audit be planned and performed with a view to obtaining reasonable assurance that the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal controls relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal controls. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the Management, as well as evaluating the overall presentation of the financial statements.

I believe the audit evidence obtained is sufficient and appropriate to provide a basis for my opinion.

Opinion

In my opinion, the financial statements present fairly, in all material respects, the financial position of the Company as at 30 June 2011, and its financial performance and its cash flows for the year then ended in accordance with the International Financial Reporting Standards and comply with the Kenya Companies Act, Cap 486 of the Laws of Kenya.

Report on Other Legal Requirements

As required by the Kenyan Companies Act, I report based on the audit, that:

- (i) I have obtained all the information and explanations which, to the best of my knowledge and belief, were necessary for the purposes of audit;
- (ii) In my opinion, proper books of account have been kept by the company so far as it appears from our examination of those books; and,
- (iii) The company's statement of financial position and statement of comprehensive income are in agreement with the books of account.



Edward R.O. Ouko
AUDITOR-GENERAL

Nairobi

27 October 2011

STATEMENT OF FINANCIAL POSITION AS AT 30 JUNE 2011

	Note	2011 KShs'000	2010 KShs'000
ASSETS			
NON CURRENT ASSETS			
Property, plant and equipment	4	7,657,923	6,645,271
Capital work- in- progress	5	217,453	915,477
Intangible assets	6	1,233	1,044
Prepaid operating leases	7	11,681	11,744
Investment properties	8	1,495,000	1,495,000
Loan swap asset	9	916,925	-
Restricted deposits	10	58,586	57,349
		10,358,801	9,125,885
CURRENT ASSETS			
Inventories	11	1,551,254	1,189,533
Trade and other receivables	12	964,503	671,977
Amount due from related party	13	5,703	5,769
Tax recoverable	14 (a)	86,236	92,622
Short term deposits	10	348,143	688,585
Bank balances and cash	15	216,231	263,194
		3,172,070	2,911,680
TOTAL ASSETS		13,530,871	12,037,565
EQUITY AND LIABILITIES			
CAPITAL AND RESERVES			
Share capital	16(a)	450,000	450,000
Share premium	16(b)	648,000	648,000
Asset revaluation reserve	16(c)	1,240,771	1,261,760
Retained earnings		3,923,685	3,341,441
TOTAL EQUITY		6,262,456	5,701,201
NON CURRENT LIABILITIES			
Staff gratuity	18	517,528	437,459
Deferred tax liability	19	312,060	999,720
Long - term loan	20	3,279,403	3,040,555
Loan swap liability	9	929,580	-
Obligations under finance leases	21	129,665	21,980
		5,168,236	4,499,714
CURRENT LIABILITIES			
Current portion of long - term loan	20	407,522	361,632
Obligations under finance leases	21	61,462	13,100
Bank overdraft	22	1,695	-
Trade and other payables	23	1,629,500	1,461,918
		2,100,179	1,836,650
TOTAL EQUITY AND LIABILITIES		13,530,871	12,037,565

The financial statements were approved by the Board of Directors on 27 October 2011 and signed on its behalf by:-

Mark Ole Karbolo } Chairman
Kephah L. Tande } Managing Director

The Notes set out on pages 36 to 86 form an integral part of these financial statements.

**STATEMENT OF COMPREHENSIVE INCOME
FOR THE YEAR ENDED 30 JUNE 2011**

	Note	2011 KShs'000	2010 KShs'000
REVENUE	24	10,172,140	9,408,711
COST OF SALES	25	(7,803,463)	(7,375,924)
GROSS PROFIT		2,368,677	2,032,787
Other operating income	26	30,101	14,511
Provisions written back	27	144,945	2,335
Farm net loss	28	-	(9,321)
		2,543,723	2,040,312
EXPENSES			
Selling and distribution	29	(679,729)	(586,808)
Administration and establishment	30	(1,050,845)	(1,194,505)
Other operating expenses	31	(159,509)	(168,984)
		(1,890,083)	(1,950,297)
PROFIT FROM OPERATIONS		653,640	90,015
FINANCE INCOME	32	9,975	105,113
FINANCE COSTS	33	(126,765)	(82,523)
EXCHANGE LOSS ON FOREIGN CURRENCY LOAN	34	(655,909)	(451,176)
LOSS BEFORE TAX	35	(119,059)	(338,571)
INCOME TAX CREDIT	14(b)	680,314	54,520
PROFIT/(LOSS) FOR THE YEAR		561,255	(284,051)
OTHER COMPREHENSIVE INCOME		-	-
TOTAL COMPREHENSIVE INCOME		561,255	(284,051)
EARNINGS/(LOSS) PER SHARE			
Basic and diluted (KShs)	36	6.24	(3.16)

The Notes set out on pages 36 to 86 form an integral part of these financial statements.

STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 30 JUNE 2011

	Share capital KShs'000	Share premium KShs'000	Asset revaluation reserve KShs'000	Retained Earnings KShs'000	Total KShs'000
At 1 July 2009 Restated	450,000	648,000	1,281,247	3,723,005	6,102,252
Transfer of excess depreciation	-	-	(18,339)	18,339	-
Surplus realised on disposal of revalued assets	-	-	(346)	346	-
Impairment of equipment	-	-	(802)	802	-
Loss for the year	-	-	-	(284,051)	(284,051)
Other comprehensive income	-	-	-	-	-
Dividends (note 17)	-	-	-	(117,000)	(117,000)
At 30 June 2010	<u>450,000</u>	<u>648,000</u>	<u>1,261,760</u>	<u>3,341,441</u>	<u>5,701,201</u>
At 1 July 2010	450,000	648,000	1,261,760	3,341,441	5,701,201
Transfer of excess depreciation	-	-	(18,339)	18,339	-
Surplus realised on disposal of revalued assets	-	-	(1,374)	1,374	-
Impairment of equipment	-	-	(1,276)	1,276	-
Profit for the year	-	-	-	561,255	561,255
Other comprehensive income	-	-	-	-	-
At 30 June 2011	<u>450,000</u>	<u>648,000</u>	<u>1,240,771</u>	<u>3,923,685</u>	<u>6,262,456</u>

The Notes set out on pages 36 to 86 form an integral part of these financial statements.

STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED 30 JUNE 2011

	Note	2011 KShs'000	2010 KShs'000
OPERATING ACTIVITIES			
Cash generated from operations	38(a)	698,282	441,015
Interest paid	38(c)	(104,128)	(84,526)
Interest received	32	9,975	105,113
Income tax paid		<u>(501)</u>	<u>(16,763)</u>
Net cash generated from operating activities		<u>603,628</u>	<u>444,839</u>
INVESTING ACTIVITIES			
Purchase of property, plant and equipment	38(e)	(71,499)	(144,096)
Capital work-in-progress		(545,394)	(440,147)
Intangible assets		(1,849)	-
Proceeds from sale of equipment		3,110	712
Investment in restricted deposits		(1,236)	(1,416)
Proceeds from sale of biological assets		<u>-</u>	<u>4,991</u>
Net cash used in investing activities		<u>(616,868)</u>	<u>(579,956)</u>
FINANCING ACTIVITIES			
Dividend paid	17	-	(117,000)
Repayment of lease obligation	38(d)	(9,297)	-
Loan repayment	38(b)	<u>(366,563)</u>	<u>(308,066)</u>
Net cash used in financing activities		<u>(375,860)</u>	<u>(425,066)</u>
DECREASE IN CASH AND CASH EQUIVALENTS		<u>(389,100)</u>	<u>(560,183)</u>
CASH AND CASH EQUIVALENTS AT THE BEGINNING OF THE YEAR		<u>951,779</u>	<u>1,511,962</u>
CASH AND CASH EQUIVALENTS AT THE END OF THE YEAR	38(f)	<u>562,679</u>	<u>951,779</u>

The Notes set out on pages 36 to 86 form an integral part of these financial statements.

NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 30 JUNE 2011**1. NEW ACCOUNTING STANDARDS, AMENDMENTS AND INTERPRETATIONS**

The accounting policies adopted are consistent with those of the previous year except as follows:

The company has adopted the following new standards, amendments and interpretations, which became effective as of 1 July 2010.

IFRS 2, Group Cash-settled Share-based Payment Arrangements - Effective for annual periods beginning on or after 1 January 2010. IFRS 2 has been amended to clarify the accounting for group cash-settled share-based payment transactions, where a subsidiary receives goods or services from employees or suppliers, but the parent or another entity in the group pays for those goods or services. The amendments clarify that the scope of IFRS 2 includes such transactions. The amendment incorporates the guidance from IFRIC 8, Scope of IFRS 2, and IFRIC 11, Group and Treasury Share Transactions and hence both IFRIC 8 and IFRIC 11 have been withdrawn. This amendment had no impact on the financial position or performance of the company.

IFRS 1, First-time Adoption of International Financial Reporting Standards - Additional Exemptions for First-time Adopters (Amendments). Effective for annual periods beginning on or after 1 January 2010. IFRS 1 has been amended to provide additional exemptions from full retrospective application of IFRS for the measurement of oil & gas assets and leases as follows:

Entities that have measured exploration and evaluation assets, and assets in the development or production phases using 'full cost accounting', can measure these assets at the amounts determined under previous GAAP at the date of transition. Where an entity uses this exemption, it must test all such assets for impairment at the date of transition to IFRS.

Where an entity uses the above deemed cost exemption for oil and gas assets, the related decommissioning and restoration liabilities are measured at the date of transition in accordance with IAS 37, Provisions, Contingent Liabilities and Contingent Assets. Any adjustment of the carrying amount as recognised under previous GAAP is recognised in retained earnings.

Where an entity has, under previous GAAP, made the same determination of whether an arrangement contains a lease as required by IFRIC 4, Determining whether an arrangement contains a lease, but that assessment was made at a date other than that required by IFRIC 4, the entity does not need to reassess that determination.

IFRS 1 First-time Adoption of International Financial Reporting Standards - Limited Exemption from Comparative IFRS 7 Disclosures for First-time Adopters - Effective for annual periods beginning on or after 1 July 2010. IFRS 1 has been amended to allow first-time adopters to utilise the transitional provisions of IFRS 7 Financial Instruments: Disclosures as they relate to the March 2009 amendments to the standard. These provisions give relief from providing comparative information in the disclosures required by the amendments in the first year of application.

NOTES TO THE FINANCIAL STATEMENTS (continued)
FOR THE YEAR ENDED 30 JUNE 2011

1. NEW ACCOUNTING STANDARDS, AMENDMENTS AND INTERPRETATIONS (continued)

To achieve this, the transitional provisions in IFRS 7 were amended to clarify that the disclosures need not be provided for:

- Annual or interim periods, including any statement of financial position, presented with an annual comparative period ending before 31 December 2009.
- Any statement of financial position as at the beginning of the earliest comparative period as at a date before 31 December 2009.

IFRS 7, Financial Instruments Disclosures

Clarification of disclosures

The amendment emphasises the interaction between quantitative and qualitative disclosures and nature and extent of risks associated with financial instruments.

Amendments to quantitative and credit risk disclosures have the following effects:

- Clarify that only financial asset whose carrying amount does not reflect the maximum exposure to credit risk need to provide further disclosure of the amount that represents the maximum exposure to such risk.
 - Require, for all financial assets, disclosure of the financial effect of collateral held as security and other credit enhancements regarding the amount that best represents the maximum exposure to credit risk (e.g., a description of the extent to which collateral mitigates credit risk).
 - Remove the disclosure requirement of the collateral held as security, other credit enhancements and an estimate of their fair value for financial assets that are past due but not impaired, and financial assets that are individually determined to be impaired.
 - Remove the requirement to specifically disclose financial assets renegotiated to avoid becoming past due or impaired.
 - Clarify that the additional disclosures required for financial assets obtained by taking possession of collateral or other credit enhancements are only applicable to assets still held at the reporting date.
- The amendment is applied retrospectively.

IAS 34, Interim Financial Statements

Significant events and transactions - The amendment provides guidance to illustrate how to apply disclosure principles in IAS 34 and add disclosure requirements around:

The circumstances likely to affect fair values of financial instruments and their classification

- Transfers of financial instruments between different levels of the fair value hierarchy
- Changes in contingent liabilities and assets
- Changes in classification of financial assets

IFRIC 19, Extinguishing Financial Liabilities with Equity Instruments - Effective for annual periods beginning on or after 1 July 2010. IFRIC 19 clarifies that equity instruments issued to a creditor to extinguish a financial liability are consideration paid in accordance with paragraph 41 of IAS 39, Financial Instruments: Recognition and Measurement.

The equity instruments issued are measured at their fair value, unless this cannot be reliably measured, in which case they are measured at the fair value of the liability extinguished.

NOTES TO THE FINANCIAL STATEMENTS (continued)
FOR THE YEAR ENDED 30 JUNE 2011**1. NEW ACCOUNTING STANDARDS, AMENDMENTS AND INTERPRETATIONS (continued)**

Any gain or loss is recognised immediately in profit or loss. If only part of a financial liability is extinguished, the entity needs to determine whether part of the consideration paid relates to a modification of the liability outstanding. If so, the consideration paid is allocated between the two parts. The interpretation does not apply where the creditor is acting in the capacity of a shareholder, common control transactions, and where the issue of equity shares was part of the original terms of the liability.

IAS 32, Financial Instruments: Presentation - Classification of Rights Issues (Amendment) - Effective for annual periods beginning on or after 1 February 2010. The definition of a financial liability has been amended to classify rights issues (and certain options or warrants) as equity instruments if:

- The rights are given pro-rata to all of the existing owners of the same class of an entity's non-derivative equity instruments.
 - The rights are to acquire a fixed number of the entity's own equity instruments for a fixed amount in any currency.
- The adoption of these standards had no impact on the financial position or performance of the company.

Improvements to international Financial Reporting Standards (Issued 2009)

The Improvements to IFRS project is an annual process that the IASB has adopted to deal with non-urgent but necessary amendments to IFRS (the 'annual improvements process'). In the second omnibus edition, 15 amendments to 12 standards are dealt with by the IASB. The following summaries only those amendments that will be effective for June 2011 year-ends.

IFRS 5, Non-current Assets Held for Sale and Discontinued Operations. Clarifies that the disclosures required in respect of non-current assets (or disposal groups) classified as held for sale or discontinued operations are only those set out in IFRS 5. Effective prospectively for annual periods beginning on or after 1 January 2010.

IFRS 8, Operating Segments - Disclosure of Information about segment assets. Segment assets and liabilities need only be reported when those assets and liabilities are included in measures used by the chief operating decision maker. Effective for annual periods beginning on or after 1 January 2010.

IAS 1, Presentation of Financial Statements - Current/non-current classification of convertible instruments. The terms of a liability that could at anytime result in its settlement by the issuance of equity instruments at the option of the counterparty do not affect its classification. Effective for annual periods beginning on or after 1 January 2010.

IAS 7, Statement of Cash Flows - Classification of expenditures on unrecognised assets. Only expenditure that results in a recognised asset can be classified as a cash flow from investing activities. Effective for annual periods beginning on or after 1 January 2010.

IAS 17, Leases - Classification of land and buildings – The specific guidance on classifying land as a lease has been removed so that only the general guidance remains. Effective for annual periods beginning on or after 1 January 2010.

IAS 36, Impairment of Assets - The largest unit permitted for allocating goodwill acquired in a business combination is the operating segment defined in IFRS 8 before aggregation for reporting purposes. Effective prospectively for annual periods beginning on or after 1 January 2010.

NOTES TO THE FINANCIAL STATEMENTS (continued)
FOR THE YEAR ENDED 30 JUNE 2011**1. NEW ACCOUNTING STANDARDS, AMENDMENTS AND INTERPRETATIONS (continued)***Improvements to International Financial Reporting Standards (Issued 2009) (continued)*

IAS 39, Financial Instruments: Recognition and Measurement:

Assessment of loan prepayment penalties as embedded derivatives - A prepayment option is considered closely related to the host contract when the exercise price reimburses the lender up to the approximate present value of lost interest for the remaining term of the host contract. Effective for annual periods beginning on or after 1 January 2010.

Scope exemption for business combination contract - The scope exemption for contracts between an acquirer and a vendor in a business combination to buy or sell an acquiree at a future date applies only to binding forward contracts, not derivative contracts where further actions are still to be taken. Effective prospectively to all unexpired contracts for annual periods beginning on or after 1 January 2010.

Cash flow hedge accounting - Gains or losses on cash flow hedges of a forecast transaction that subsequently results in the recognition of a financial instrument or on cash flow hedges or recognised financial instruments should be reclassified in the period that the hedged forecast cash flows affect profit or loss. Effective prospectively to all unexpired contracts for annual periods beginning on or after 1 January 2010.

In the third omnibus edition, the IASB issued eleven amendments to six standards and one interpretation. The following summarises the five amendments that will be effective for June 2011 year-ends.

IFRS 3, Business Combinations

Transition requirements for contingent consideration from a business combination that occurred before the effective date of the revised IFRS - The amendment clarifies that the amendments to IFRS 7, Financial Instruments: Disclosures, IAS 32, Financial Instruments: Presentation and IAS 39, Financial Instruments: Recognition and Measurement, that eliminate the exemption for contingent consideration, do not apply to contingent consideration that arose from business combinations whose acquisition dates precede the application of IFRS 3 (as revised in 2008). The amendment is applicable to annual periods beginning on or after 1 July 2010. The amendment is applied retrospectively.

Measurement of non-controlling interests (NCI) - The amendment limits the scope of the measurement choices that only the components of NCI that are present ownership interests which entitle their holders to a proportionate share of the entity's net assets, in the event of liquidation, shall be measured either at fair value, or at the present ownership instruments' proportionate share of the acquiree's identifiable net assets. Other components of NCI are measured at their acquisition date fair value, unless another measurement basis is required by another IFRS, e.g. IFRS 2. Applicable to annual periods beginning on or after 1 July 2010.

The amendment is applied prospectively from the date the entity applies IFRS 3 (Revised).

Un-replaced and voluntarily replaced share-based payment awards - The amendment requires an entity (in a business combination) to account for the replacement of the acquiree's share-based payment transactions (whether by obligation or voluntarily), i.e., split between consideration and post-combination expenses. However, if the entity replaces the acquiree's awards that expire as a consequence of the business combination, these are recognised as post-combination expenses.

NOTES TO THE FINANCIAL STATEMENTS (continued)
FOR THE YEAR ENDED 30 JUNE 2011**1. NEW ACCOUNTING STANDARDS, AMENDMENTS AND INTERPRETATIONS (continued)***Improvements to international Financial Reporting Standards (Issued 2009) (continued)*

IFRS 3 Business Combinations (continued)

The amendment also specifies the accounting for share-based payment transactions that the acquirer does not exchange for its own awards: if vested - they are part of NCI and measured at their market-based measure; if unvested - they are measured at market based value as if granted at acquisition date, and allocated between NCI and post-combination expense. The amendment is applicable to annual periods beginning on or after 1 July 2010. The amendment is applied prospectively.

IAS 27, Consolidated and Separate Financial Statements - Transition requirements for amendments made as a result of IAS 27, Consolidated and Separate Financial Statements. The amendment clarifies that the consequential amendments from IAS 27 made to IAS 21, The Effect of Changes in Foreign Exchange Rates, IAS 28 Investments in Associates and IAS 31, Interests in Joint Ventures apply prospectively for annual periods beginning on or after 1 July 2009 or earlier when IAS 27 is applied earlier. The amendment is applicable to annual periods beginning on or after 1 July 2010. It is applied retrospectively.

Standards, amendments and interpretations to existing standards that were issued but not effective for accounting periods beginning on or after 1 July 2010

The company has chosen not to early adopt the following standards, amendments and interpretations to existing standards that were issued, but not yet effective, for accounting periods beginning on 1 July 2010. The company expects that adoption of these standards, amendments and interpretations is expected not to have any significant impact on the company's financial statements in the period of initial application but additional disclosures will be required.

IFRS 1 First-time Adoption of international Financial Reporting Standards (Amendment) - Severe Hyperinflation and Removal of Fixed Dates for First-time Adopters - Effective for annual periods beginning on or after 1 July 2011. The IASB has provided guidance on how an entity should resume presenting IFRS financial statements when its functional currency ceases to be subject to severe hyperinflation. When an entity's date of transition to IFRS is on, or after, the date its functional currency ceases to be subject to severe hyperinflation (the functional currency normalisation date), the entity may elect to measure all assets and liabilities held before the functional currency normalisation date that were subject to severe hyperinflation, at fair value, on the date of transition to IFRS. This fair value may be used as the deemed cost of those assets and liabilities in the opening IFRS statement of financial position. A further amendment to the standard is the removal of the legacy fixed dates in IFRS 1 relating to derecognition and day one gain or loss transactions have also been removed. The standard now has these dates coinciding with the date of transition to IFRS.

IFRS 7, Financial Instruments: Disclosures (Amendment) - Effective for annual periods beginning on or after 1 July 2011. The amendment requires additional quantitative and qualitative disclosures relating to transfers of financial assets, where:

- Financial assets are derecognised in their entirety, but where the entity has a continuing involvement in them (e.g. options or guarantees on the transferred assets)
- Financial assets are not derecognised in their entirety - The amendments may be applied earlier than the effective date and this fact must be disclosed. Comparative disclosures are not required for any period beginning before the effective date.

NOTES TO THE FINANCIAL STATEMENTS (continued)
FOR THE YEAR ENDED 30 JUNE 2011

1. NEW ACCOUNTING STANDARDS, AMENDMENTS AND INTERPRETATIONS (continued)

Standards amendments and interpretations to existing standards that were issued but not effective for accounting periods beginning on or after 1 July 2010 (continued)

IAS 24, Related Party Disclosures (Revised) - Effective for annual periods beginning on or after 1 January 2011. The definition of a related party has been clarified to simplify the identification of related party relationships, particularly in relation to significant influence and joint control.

A partial exemption from the disclosures has been included for government-related entities. For these entities, the general disclosure requirements of IAS 24 will not apply. Instead, alternative disclosures have been included, requiring:

- The name of the government and the nature of its relationship with the reporting entity
- The nature and amount of individually significant transactions
- A qualitative or quantitative indication of the extent of other transactions that are collectively significant.

IFRIC 14 Prepayments of a Minimum Funding Requirement (Amendment) - Effective for annual periods beginning on or after 1 January 2011. IFRIC 14 provides further guidance on assessing the recoverable amount of a net pension asset. The amendment permits an entity to treat the prepayment of a minimum funding requirement as an asset.

Improvements to International Financial Reporting Standards (issued 2010)

These amendments are effective for periods beginning on or after 1 January 2011. Earlier application is permitted in all cases. In this omnibus edition, the IASB issued eleven amendments to six standards and one interpretation. The following summarises the six amendments included that will be effective for June 2012 year-ends.

IFRS 1 First-time Adoption of International Financial Reporting Standards

Accounting policy changes in the year of adoption - The amendment clarifies that, if a first-time adopter changes its accounting policies or its use of the exemptions in IFRS 1 after it has published an interim financial report in accordance with IAS 34, Interim Financial Reporting, it has to explain those changes and update the reconciliations between previous GAAP and IFRS.

Revaluation basis as deemed cost - The amendment allows first-time adopters to use an event-driven fair value as deemed cost, even if the event occurs after the date of transition, but before the first IFRS financial statements are issued. When such re-measurement occurs after the date of transition to IFRS, but during the period covered by its first IFRS financial statements the adjustment is recognised directly in retained earnings (or if appropriate, another category of equity).

IAS 1, Presentation of Financial Statements

Clarification of statement of changes in equity - The amendment clarifies that an entity will present an analysis of other comprehensive income for each component of equity, either in the statement of changes in equity or in the notes to the financial statements. The amendment is applied retrospectively.

IFRIC 13, Customer Loyalty Programmes

Fair value of award credit - The amendment clarifies that when the fair value of award credits is measured based on the value of the awards for which they could be redeemed, the amount of discounts or incentives otherwise granted to customers not participating in the award credit scheme is to be taken into account. The amendment is applied retrospectively.

NOTES TO THE FINANCIAL STATEMENTS (continued)
FOR THE YEAR ENDED 30 JUNE 2011**1. NEW ACCOUNTING STANDARDS, AMENDMENTS AND INTERPRETATIONS (continued)***Improvements to international Financial Reporting Standards (Issued 2010) (continued)*

IAS 12, Income Taxes

The amendments introduce a presumption that an investment property is recovered entirely through sale. This presumption is rebutted if the investment property is held within a business model whose objective is to consume substantially all of the economic benefits embodied in the investment property over time, rather than through sale. Effective 1 January 2012.

New international Financial Reporting Standards (Issued 2010) but not effective

IFRS 9, Financial Instruments

Classification and measurement of financial assets and liabilities - Effective 1 January 2013. IFRS 9 as issued reflects the first phase of the IASB's work on the replacement of IAS 39 and applies to classification and measurement of financial assets and liabilities as defined in IAS 39. The standard is effective for annual periods beginning on or after 1 January 2013. In subsequent phases, the Board will address impairment and hedge accounting. The completion of this project is expected in mid 2011. The adoption of the first phase of IFRS 9 will primarily have an effect on the classification and measurement of the company's financial assets. The company is currently assessing the impact of adopting IFRS 9. However, since the impact of adoption depends on the assets held by the company at the date of adoption, it is not practical to quantify the effect.

IFRS 10, Consolidated Financial Statements

This new standard includes a new definition of control which is used to determine which entities are consolidated. This will apply to all entities, including special purpose entities (now known as 'structured entities'). The changes introduced by IFRS 10 will require management to exercise significant judgment to determine which entities are controlled and, therefore, consolidated, and may result in a change to the entities which are within a group. Effective 1 January 2013.

IFRS 11, Joint Arrangements

This new standard describes the accounting for joint arrangements with joint control; proportionate consolidation will no longer be permitted for joint ventures. Effective 1 January 2013.

IFRS 12, Disclosures of Interests in Other Entities

This new standard describes all the disclosures that are required relating to an entity's interests in subsidiaries, joint arrangements, associates and structured entities. An entity is now required to disclose the judgments made to determine whether it controls another entity. Effective 1 January 2013.

IFRS 13, Fair Value Measurement

This new standard provides guidance on how to measure fair value of financial and non-financial assets and liabilities when fair value measurement is required or permitted by IFRS. Effective 1 January 2013.

NOTES TO THE FINANCIAL STATEMENTS (continued)
FOR THE YEAR ENDED 30 JUNE 2011

2. SIGNIFICANT ACCOUNTING POLICIES

(a) Basis of preparation

The financial statements have been prepared in accordance with International Financial Reporting Standards (IFRSs). The financial statements have been prepared on the historical cost basis of accounting except where otherwise stated or disclosed.

(b) Revenue recognition

Revenue is recognised in the profit or loss when the significant risk and rewards of ownership have been transferred to the buyer, recovery of the consideration is probable, the associated costs and possible return of goods can be estimated reliably and there is no continuing management involvement with the goods. Revenue is measured at fair value net of taxes and discount.

Interest income is recognised in the profit or loss for all interest bearing instruments on an accrual basis taking into account the effective yield on the asset.

(c) Taxes

Current tax

Current tax assets and liabilities for the current and prior periods are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted by the reporting date. Current tax relating to items recognised directly in other comprehensive income or equity is recognised in other comprehensive income or equity and not in profit or loss.

Deferred tax

Deferred tax is provided for using the liability method, for all temporary differences arising between the tax bases of assets and liabilities and their carrying values for financial reporting purposes. Deferred tax assets and liabilities are measured at the tax rates that are expected to apply to the year when the asset is realised or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the reporting date. Deferred income tax relating to items recognised directly in other comprehensive income or equity is recognised in other comprehensive income or equity and not in profit or loss.

Deferred tax liabilities are recognised for all taxable temporary differences, except:

Where the deferred tax liability arises from the initial recognition of goodwill or of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss.

In respect of taxable temporary differences associated with investments in subsidiaries, associates and interests in joint ventures, where the timing of the reversal of the temporary differences can be controlled and it is probable that the temporary differences will not reverse in the foreseeable future.

NOTES TO THE FINANCIAL STATEMENTS (continued)
FOR THE YEAR ENDED 30 JUNE 2011**2. SIGNIFICANT ACCOUNTING POLICIES (continued)****(c) Taxes (continued)**

Deferred income tax assets are recognised for all deductible temporary differences, carry forward of unused tax credits and unused tax losses, to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, and the carry forward of unused tax credits and unused tax losses can be utilised except:

where the deferred tax asset relating to the deductible temporary difference arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss; and, in respect of deductible temporary differences associated with investments in subsidiaries, associates and interests in joint ventures, deferred tax assets are recognised only to the extent that it is probable that the temporary differences will reverse in the foreseeable future and taxable profit will be available against which the temporary differences can be utilised.

The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilised. Unrecognised deferred tax assets are reassessed at each reporting date and are recognised to the extent that it has become probable that future taxable profit will allow the deferred tax asset to be recovered.

Deferred tax assets and deferred income tax liabilities are offset, if a legally enforceable right exists to set off current tax assets against current tax liabilities and the deferred taxes relate to the same taxable entity and the same tax authority.

Value added tax

Revenues, expenses and assets are recognised net of the amount of value added tax except where the value added tax incurred on a purchase of assets or services is not recoverable from the tax authorities, in which case the value added tax is recognised as part of the cost of acquisition of the asset or as part of the expense item as applicable; and receivables and payables that are stated with the amount of value added tax included. The net amount of value added tax recoverable from, or payable to, the tax authorities is included as part of accounts receivables or payables in the statement of financial position.

(d) Property, plant and equipment

Property, plant and equipment are stated at historical cost and/or professionally revalued amounts less accumulated depreciation and impairment losses. An item of property, plant and equipment is derecognised upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss arising on derecognising of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in profit or loss in the year the asset is derecognised.

The company's policy is to professionally revalue property, plant and equipment at least once every five years. The last revaluation was carried out as at 30 June 2009.

Any revaluation surplus is recognised in other comprehensive income and accumulated in the asset revaluation reserve in equity, except to the extent that it reverses a revaluation decrease of the same asset previously recognised in profit or loss, in which case the increase is recognised in profit or loss. A revaluation deficit is recognised in profit or loss, except to the extent that it offsets an existing surplus on the same asset recognised in the asset revaluation reserve.

NOTES TO THE FINANCIAL STATEMENTS (continued)
FOR THE YEAR ENDED 30 JUNE 2011**2. SIGNIFICANT ACCOUNTING POLICIES (continued)****(d) Property, plant and equipment (continued)***Depreciation*

No depreciation is provided on freehold land.

Depreciation on other items of property, plant and equipment is charged on the straight-line basis over the estimated useful lives of the assets. The rates of depreciation used are based on the following estimated useful lives:

Buildings	2.5% or period of lease, whichever is less
Plant and machinery	5 to 12.5%
Motor vehicles	25% - 33.33%
Office equipment, furniture and fittings	5 to 25%
Computers	33.33%

The residual values and useful lives are reassessed annually and adjusted prospectively if appropriate. Where the residual value exceeds the carrying value, no depreciation is charged in the next year.

The excess annual depreciation attributable to revaluation surplus on property, plant and equipment is transferred annually from the asset revaluation reserve to the retained earnings.

(e) Leases

The determination of whether an arrangement is, or contains, a lease is based on the substance of the arrangement at inception date: whether fulfillment of the arrangement is dependent on the use of a specific asset or assets or the arrangement conveys a right to use the asset.

Leases are classified as finance leases whenever the terms of the lease transfer substantially all risks and rewards of ownership to the company as the lessee. Leases where a significant portion of the risks and rewards of ownership are retained by the lessor, are classified as operating leases.

Finance leases are capitalised at the commencement of the lease at the fair value of the leased property or, if lower, at the present value of the minimum lease payments. Lease payments are apportioned between finance charges and reduction of the lease liability so as to achieve a constant rate of interest on the remaining balance of the liability. Finance charges are recognised in profit or loss.

Leased assets are depreciated over the useful life of the asset. However, if there is no reasonable certainty that the company will obtain ownership by the end of the lease term, the asset is depreciated over the shorter of the estimated useful life of the asset and the lease term.

Operating lease payments are recognised as an expense in profit or loss on a straight line basis over the lease term.

NOTES TO THE FINANCIAL STATEMENTS (continued)
FOR THE YEAR ENDED 30 JUNE 2011**2. SIGNIFICANT ACCOUNTING POLICIES (continued)****(f) Intangible assets**

Intangible assets acquired separately are measured on initial recognition at cost. Subsequently, amortisation and accumulated impairment losses are netted from the cost. Expenditure on internally generated intangible assets, excluding capitalised development costs, is reflected in profit or loss in the year in which it is incurred.

Intangible assets with finite lives are amortised on a straight line basis over their useful economic lives from the date they are available for use, up to a maximum of three years. Intangible assets are assessed for impairment whenever there is an indication that an intangible asset may be impaired.

The amortisation period and the amortisation method for an intangible asset with a finite useful life is reviewed at least at each financial year-end. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset is accounted for by changing the amortisation period or method, as appropriate, and are treated as changes in accounting estimates. The amortisation expense on intangible assets with finite lives is recognised in profit or loss in the expense category consistent with the function of the intangible asset. Periodic software maintenance costs are recognised as an expense when incurred.

Gains or losses arising from derecognising of an intangible asset are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognised in profit or loss when the asset is derecognised.

(g) Leasehold land

Payments to acquire interests in leasehold land are treated as prepaid operating leases. They are stated at historical cost and are amortised over the term of the related lease.

(h) Investment properties

Investment properties are measured initially at cost, including transaction costs, and excluding the costs of day to day servicing of an investment property. Subsequent to initial recognition, investment properties are stated at fair value, which reflects market conditions at the reporting date. Gains or losses arising from changes in the fair values of investment properties are included in the statement of comprehensive income in the year in which they arise.

Investment properties are derecognised when either they have been disposed of or when the investment property is permanently withdrawn from use and no future economic benefit is expected from its disposal. Any gains or losses on the retirement or disposal of an investment property are recognised in profit or loss in the year of retirement or disposal.

The company's policy is to obtain valuation of investment properties by independent professional valuers at least once every three years. The last valuation was carried out as at 30 June 2009.

NOTES TO THE FINANCIAL STATEMENTS (continued)
FOR THE YEAR ENDED 30 JUNE 2011

2. SIGNIFICANT ACCOUNTING POLICIES (continued)

(h) Investment properties (continued)

Transfers are made to or from investment property only when there is a change in use.

A property interest that is held by a lessee under an operating lease may be classified and accounted for as investment property if, and only if, the property would otherwise meet the definition of an investment property and the lessee uses the fair value model to recognise the asset. This classification alternative is available on a property-by-property basis. However, once this classification alternative is selected for one such property interest held under an operating lease, all property classified as investment property shall be accounted for using the fair value model.

(i) Impairment

i) Financial assets

The company assesses at each reporting date whether there is any objective evidence that a financial asset or group of financial assets is impaired. If there is objective evidence that an impairment loss on assets carried at amortised cost has been incurred, the amount of the loss is measured as the difference between the asset's carrying amount and the present value of estimated future cash flows (excluding future expected credit losses that have not been incurred) discounted at the financial asset's original effective interest rate (i.e. the effective interest rate computed at initial recognition). The carrying amount of the asset is reduced through use of an allowance account. The amount of the loss is recognised in profit or loss.

If, in a subsequent period, the amount of the impairment loss decreases and the decrease can be related objectively to an event occurring after the impairment was recognised, the previously recognised impairment loss is reversed, to the extent that the carrying value of the asset does not exceed its amortised cost at the reversal date. Any subsequent reversal of an impairment loss is recognised in profit or loss.

Impaired debts are derecognized when they are assessed as uncollectible.

In relation to trade receivables, an allowance for impairment is made when there is objective evidence (such as the probability of insolvency or significant financial difficulties of the debtor) that the company will not be able to collect all of the amounts due under the original terms of the invoice.

NOTES TO THE FINANCIAL STATEMENTS (continued)
FOR THE YEAR ENDED 30 JUNE 2011**2. SIGNIFICANT ACCOUNTING POLICIES (continued)**

- (i) Impairment (continued)
- (ii) Non-financial assets

The carrying amounts of the company's non-financial assets are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists then the asset's recoverable amount is estimated.

An impairment loss is recognised if the carrying amount of an asset or its cash-generating unit exceeds its recoverable amount. A cash-generating unit is the smallest identifiable asset group that generates cash flows that largely are independent from other assets and groups. Impairment losses are recognised in profit or loss. Impairment losses recognised in respect of cash-generating units reduce the carrying amount of the other assets in the unit (group of units) on a pro rata basis.

The recoverable amount of an asset or cash-generating unit is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset.

Impairment losses recognised in prior periods are assessed at each reporting date for any indications that the loss has decreased or no longer exists. An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised.

- (j) Inventories

Inventories are stated at the lower of cost and net realisable value. Cost comprises direct materials and, where applicable, direct labour costs and the overheads incurred in bringing the inventories to their present location and condition. Costs of direct materials are determined on the first-in first-out basis, while those of general consumable stores are determined on the weighted average cost basis. Net realisable value represents the estimated selling price less the estimated cost to completion and costs to be incurred in marketing, selling and distribution. Work-in-progress, which comprises raw meal and clinker, is stated at the lower of production cost and net realisable value. Production cost comprises expenditure directly incurred in the manufacturing process and allocation of fixed and normal production overheads attributable to the process.

NOTES TO THE FINANCIAL STATEMENTS (continued)
FOR THE YEAR ENDED 30 JUNE 2011**2. SIGNIFICANT ACCOUNTING POLICIES (continued)****(k) Financial instruments**

A financial instrument is a contract that gives rise to both a financial asset of one enterprise and a financial liability of another enterprise. The company classifies its financial assets into the following categories: Financial assets at fair value through profit or loss; loans and receivables; held to maturity investments; and available-for-sale assets. Management determines the appropriate classification of its investments at initial recognition and re-evaluates its portfolio every reporting date to ensure that all financial instruments are appropriately classified.

Purchase and sale of financial assets that require delivery of assets within the period generally established by regulation or convention in the market place (regular way purchases) are recognised on the trade date, which is the date that the company commits to purchase or sell the asset.

Financial assets are initially recognised at fair value plus transaction costs for all financial assets not carried at fair value through profit or loss

Financial assets at fair value through profit or loss

Financial assets at fair value through profit or loss include financial assets held for trading and financial assets designated upon initial recognition at fair value through profit or loss. Financial assets are classified as held for trading if they are acquired for the purpose of selling or repurchasing in the near term. This category includes derivative financial instruments entered into by the company that are not designated as hedging instruments in hedge relationships as defined by IAS 39. Derivatives, including separated embedded derivatives are also classified as held for trading unless they are designated as effective hedging instruments. Financial assets at fair value through profit and loss are carried in the statement of financial position at fair value. Gains and losses arising from changes in the fair value of "financial assets at fair value through profit or loss" are included in profit or loss in the period in which they arise.

Loans and receivables

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market and include receivables arising from day to day sale of goods and services. They are measured at amortised cost less impairment losses using the effective interest rate method (EIR). Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortisation is included in finance income in profit or loss.

Held to maturity

Held-to-maturity investments are non-derivative financial assets with fixed or determinable payments and fixed maturities that management has the positive intention and ability to hold to maturity. Where a sale occurs other than an insignificant amount of held-to-maturity assets, the entire category would be tainted and classified as available for sale.

NOTES TO THE FINANCIAL STATEMENTS (continued)
FOR THE YEAR ENDED 30 JUNE 2011**2. SIGNIFICANT ACCOUNTING POLICIES (continued)****(k) Financial instruments (continued)***Held to maturity (continued)*

After initial measurement, held-to-maturity investments are measured at amortised cost using the effective interest method, less impairment. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortisation is included in finance income in profit or loss.

The Company did not have any held-to-maturity investments during the years ended 30 June 2011 and 2010.

Available-for-sale financial assets

Financial assets that are not (a) financial assets at fair value through profit or loss, (b) loans and receivables, or (c) financial assets held to maturity.

After initial measurement, available-for-sale financial investments are subsequently measured at fair value with unrealised gains or losses recognised as other comprehensive income in the available-for-sale reserve until the investment is derecognised, at which time the cumulative gain or loss is recognised in other operating income, or determined to be impaired, at which time the cumulative loss is reclassified to profit or loss in finance costs and removed from the available-for-sale reserve.

The Company did not have any available-for-sale financial assets during the years ended 30 June 2011 and 2010.

Trade and other receivables

Trade and other receivables consist of all receivables which are of short duration with no stated interest rate and are measured at amortised cost using the effective interest rate. An allowance is made for any unrecoverable amounts.

Borrowings

Interest bearing loans are recorded at the fair value of the proceeds received. Finance charges are recognised on the accrual basis and are added to the carrying amount of the related instrument to the extent that they are not settled in the period they arise.

Trade payables

Trade and other payables consist of all payables which are of short duration with no stated interest rate and are measured at amortised cost using the effective interest rate.

Cash and cash equivalents

For the purpose of the statement of cash flows, cash equivalents include short term liquid investments which are readily convertible to known amounts of cash and which were within three months to maturity when acquired, less advances from banks repayable within three months from date of disbursement or confirmation of the advance. Cash and cash equivalents are measured at amortised cost.

NOTES TO THE FINANCIAL STATEMENTS (continued)
FOR THE YEAR ENDED 30 JUNE 2011**2. SIGNIFICANT ACCOUNTING POLICIES (continued)****(k) Financial instruments (continued)**

A financial asset is derecognised when the company loses control over the contractual rights that comprise that asset and has transferred its right to cash flows from the asset or has assumed an obligation to pay the received cash flows without material delay to a third party under a 'pass through' arrangement; and either (a) the Company has transferred substantially all the risks and rewards of the assets, or (b) has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

A financial liability is derecognised when the obligation under the liability is discharged or cancelled or expires. When an existing financial liability is replaced by another by the same lender on substantially different terms, or the terms of the existing liability are substantially modified, such an exchange or modification is treated as a derecognition of the original liability and the recognition of a new liability and the difference in the respective carrying amounts are recognised in the statement of comprehensive income.

Offsetting

Financial assets and liabilities are offset and the net amounts reported on the statement of financial position when there is a currently legally enforceable right to set off the recognised amount and there is an intention to settle on a net basis, or to realise the assets and settle the liability simultaneously.

(l) Foreign currency

Monetary assets and liabilities that are denominated in foreign currencies are translated into Kenya shillings at the rates of exchange ruling on the reporting date. Transactions during the year, which are expressed in foreign currencies, are converted at the rates ruling on the dates of the transactions. Gains and losses on exchange are dealt with in profit or loss.

Items included in the financial statements of the company are measured using the currency of the primary economic environment in which the entity operates ("functional currency"). The financial statements are presented in Kenya shillings (KShs) which is the company's functional currency.

(m) Hedge accounting

The company makes use of derivative instruments to manage exposures to interest rate and foreign currency risks. In order to manage these risks, the company applies hedge accounting for transactions which meet specified criteria. At inception of the hedge relationship, the company formally documents the relationship between the hedged item and the hedging instrument, including the nature of the risk, the objective and strategy for undertaking the hedge and the method that will be used to assess the effectiveness of the hedging relationship.

NOTES TO THE FINANCIAL STATEMENTS (continued)
FOR THE YEAR ENDED 30 JUNE 2011**2. SIGNIFICANT ACCOUNTING POLICIES (continued)****(m) Hedge accounting (continued)**

At the inception of the hedge relationship, a formal assessment is undertaken to ensure the hedging instrument is expected to be highly effective in offsetting the designated risk in the hedged item. Hedges are formally assessed semi-annually. A hedge is expected to be highly effective if the changes in fair value or cash flows attributable to the hedged risk during the period for which the hedge is designated are expected to offset in a range of 80% to 125%. For situations where that hedged item is a forecast transaction, the company assesses whether the transaction is highly probable and presents an exposure to variations in cash flows that could ultimately affect profit or loss.

Fair value hedges

For designated and qualifying fair value hedges, the change in the fair value of a hedging derivative is recognised in profit or loss in 'other income'. Meanwhile, the change in the fair value of the hedged item attributable to the risk hedged is recorded as part of the carrying value of the hedged item and is also recognised in profit or loss in 'other income'.

If the hedging instrument expires or is sold, terminated or exercised, or where the hedge no longer meets the criteria for hedge accounting, the hedge relationship is terminated. For hedged items recorded at amortized cost, the difference between the carrying value of the hedged item on termination and the face value is amortised over the remaining term of the original hedge using the effective interest rate. If the hedged item is derecognised, the unamortised fair value adjustment is recognised immediately in profit or loss.

Cash flow hedges

For designated and qualifying cash flow hedges, the effective portion of the gain or loss on the hedging instrument is initially recognised in other comprehensive income and accumulated in the 'Cash flow hedge' reserve in equity. The ineffective portion of the gain or loss on the hedging instrument is recognised immediately in 'other income'. When the hedged transaction affects profit or loss, the gain or loss on the hedging instrument is recorded in the corresponding income or expense line of the statement of comprehensive income. When a hedging instrument expires, or is sold, terminated, exercised, or when a hedge no longer meets the criteria for hedge accounting, any cumulative gain or loss existing in other comprehensive income at that time remains in other comprehensive income and is recognised when the hedged forecast transaction is ultimately recognized in profit or loss. When a forecast transaction is no longer expected to occur, the cumulative gain or loss that was reported in other comprehensive income is immediately recycled through other comprehensive income into profit or loss.

(n) Dividends payable

Dividends payable on ordinary shares are charged to retained earnings in the period in which they are declared. Proposed dividends are not accrued for until ratified in an Annual General Meeting.

NOTES TO THE FINANCIAL STATEMENTS (continued)
FOR THE YEAR ENDED 30 JUNE 2011**2. SIGNIFICANT ACCOUNTING POLICIES (continued)****(o) Employee benefits****i) Short-term benefits**

Short-term benefits consist of salaries, bonuses and any non-monetary benefits such as medical aid contributions and free services. They exclude equity based benefits and termination benefits. Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided.

A provision is recognised for the amount expected to be paid under a short-term cash bonus only if the company has a present legal or constructive obligation to pay this amount as a result of past services provided by the employee and if the obligation can be measured reliably.

ii) Retirement benefit costs

The company operates a funded defined contribution pension scheme for senior and supervisory staff, as well as an in-house gratuity scheme for unionisable employees. The company also contributes to the statutory National Social Security Fund. This is a defined contribution scheme registered under the National Social Security Act. The company's obligations under the scheme are limited to specific contributions legislated from time to time and are currently limited to a maximum of KShs 200 per month per employee.

The company's obligations to all staff retirement benefits schemes are charged to the profit or loss as they fall due.

(p) Provision for employee entitlements

Employee entitlements to annual leave are recognised when they accrue to employees. A provision is made for the estimated liability for annual leave accrued at the reporting date. The company's unionisable staff who resign or whose services are terminated either due to illness or other reasons after completion of ten years of continuous and meritorious service are entitled to twenty one days pay for each completed year of service by way of gratuity, based on the wages or salary at the time of such resignation or termination of services, as provided for in the trade union agreement. An employee who is dismissed or terminated for gross misconduct is not entitled to gratuity. The service gratuity is provided for in the financial statements at present value of benefits payable as it accrues to each employee.

(q) Mining and exploration costs

All exploration costs for the mining of limestone are expensed in the period that they occur and form part of cost of sales.

(r) Provisions

Provisions are recognised when the company has a present legal or constructive obligation as a result of past events and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate of the amount of the obligation can be made.

Where the effect of the time value of money is material, the amount of a provision is the present value of the expenditure expected to be required to settle the obligation, discounted at a rate that reflects current market assessments of the time value of money and the risks specific to the liability.

NOTES TO THE FINANCIAL STATEMENTS (continued)
FOR THE YEAR ENDED 30 JUNE 2011**3. CRITICAL ACCOUNTING ESTIMATES AND JUDGEMENTS**

In the process of applying the company's accounting policies, management has made estimates and assumptions that affect the reported amounts of assets and liabilities within current and future financial years. Estimates and judgements are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances. The critical areas of accounting estimates and judgements in relation to the preparation of these financial statements are as set out below:

Impairment of assets

At each reporting date, the company reviews the carrying amount of its assets to determine whether there is any indication that these assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of impairment.

Property, plant and equipment

Critical estimates are made by directors in determining the useful lives and residual values to property, plant and equipment based on the intended use of the assets and the economic lives of those assets. Subsequent changes in circumstances or prospective utilisation of the assets concerned could result in the actual useful lives or residual values differing from initial estimates.

Intangible assets

Critical estimates are made by directors in determining the useful lives and residual values to intangible assets based on the intended use of the assets and the economic lives of those assets. Subsequent changes in circumstances or prospective utilisation of the assets concerned could result in the actual useful lives or residual values differing from initial estimates.

NOTES TO THE FINANCIAL STATEMENTS (continued)
FOR THE YEAR ENDED 30 JUNE 2011**4. PROPERTY, PLANT AND EQUIPMENT**

(a) Year ended 30 June 2011

	Freehold land KShs'000	Buildings KShs'000	Plant and machinery KShs'000	Motor vehicles KShs'000	Computers, office equipment, furniture and fittings KShs'000	Total KShs'000
COST OR VALUATION						
At 1 July 2010	166,335	1,124,964	5,085,952	453,763	213,716	7,044,730
Additions	-	-	29,584	165,344	41,915	236,843
Disposals	-	-	-	(2,618)	-	(2,618)
Transfer from capital- work- in progress (note 5)	-	-	1,243,418	-	-	1,243,418
At 30 June 2011	166,335	1,124,964	6,358,954	616,489	255,631	8,522,373
COMPRISING						
Valuation adjustment at 30 June 2009	98,898	1,096,017	3,113,628	354,386	(250,231)	4,412,698
Cost	67,437	28,947	3,245,326	262,103	505,862	4,109,675
	166,335	1,124,964	6,358,954	616,489	255,631	8,522,373
DEPRECIATION						
At 1 July 2010	-	28,125	267,228	77,056	27,050	399,459
Charge for the year	-	28,125	293,100	104,603	32,092	457,920
Eliminated on disposal	-	-	-	(655)	-	(655)
Impairment of equipment	-	-	-	7,726	-	7,726
At 30 June 2011	-	56,250	560,328	188,730	59,142	864,450
NET BOOK VALUE At 30 June 2011	166,335	1,068,714	5,798,626	427,760	196,489	7,657,923

The property, plant and equipment were revalued by Crystal Valuers Limited, registered valuers, as at 30 June 2009. The land was valued on an Open Market Value basis while the other assets were valued on a Depreciated Replacement Cost basis. The company's policy is to revalue property, plant and equipment at least once every five years refer to note 2(d).

NOTES TO THE FINANCIAL STATEMENTS (continued)
FOR THE YEAR ENDED 30 JUNE 2011**4. PROPERTY, PLANT AND EQUIPMENT (continued)**

(b) Year ended 30 June 2010

	Freehold land KShs'000	Buildings KShs'000	Plant and machinery KShs'000	Motor vehicles KShs'000	Computers, office equipment, furniture and fittings KShs'000	Total KShs'000
COST OR VALUATION						
At 1 July 2009 (Restated)	119,950	1,124,964	5,085,952	395,609	139,739	6,866,214
Additions	46,385	-	-	58,814	73,977	179,176
Disposals	-	-	-	(660)	-	(660)
At 30 June 2010	<u>166,335</u>	<u>1,124,964</u>	<u>5,085,952</u>	<u>453,763</u>	<u>213,716</u>	<u>7,044,730</u>
COMPRISING						
Valuation adjustment at 30 June 2009	98,898	1,096,017	3,113,628	354,386	(250,231)	4,412,698
Cost	<u>67,437</u>	<u>28,947</u>	<u>1,972,324</u>	<u>99,377</u>	<u>463,947</u>	<u>2,632,032</u>
	<u>166,335</u>	<u>1,124,964</u>	<u>5,085,952</u>	<u>453,763</u>	<u>213,716</u>	<u>7,044,730</u>
DEPRECIATION						
At 1 July 2009	-	-	-	-	-	-
Charge for the year	-	28,125	267,228	77,221	25,905	398,479
Eliminated on disposal	-	-	-	(165)	-	(165)
Impairment of equipment	-	-	-	-	1,145	1,145
At 30 June 2010	<u>-</u>	<u>28,125</u>	<u>267,228</u>	<u>77,056</u>	<u>27,050</u>	<u>399,459</u>
NET BOOK VALUE						
At 30 June 2010	<u>166,335</u>	<u>1,096,839</u>	<u>4,818,724</u>	<u>376,707</u>	<u>186,666</u>	<u>6,645,271</u>

NOTES TO THE FINANCIAL STATEMENTS (continued)
FOR THE YEAR ENDED 30 JUNE 2011**4. PROPERTY, PLANT AND EQUIPMENT (continued)**

If the revalued property, plant and equipment were carried in the financial statements at historical cost, the balances at year-end would have been as follows:

	2011 KShs'000	2010 KShs'000
Cost	10,313,224	10,313,224
Accumulated depreciation	<u>(4,993,435)</u>	<u>(4,604,534)</u>
Net book value	<u>5,319,789</u>	<u>5,708,690</u>

(c) Finance leases

Additions during the year include motor vehicles of KShs 165,344,807 (2010 – KShs 35 million) under finance leases. Leased assets are pledged as security for the related finance lease liabilities.

5. CAPITAL WORK-IN-PROGRESS

	2011 KShs'000	2010 KShs'000
COST		
At the beginning of the year	915,477	475,330
Additions	<u>545,394</u>	<u>440,147</u>
	1,460,871	915,477
Transfers to property plant and equipment (note 4)	<u>(1,243,418)</u>	<u>-</u>
Balance at 30 June	<u>217,453</u>	<u>915,477</u>

Capital work-in-progress relates to amounts incurred on installation of a coal grinding and dosing facility, implementation of Enterprise Resource Planning (ERP), construction of buildings, installation of network infrastructure and plant and machinery. The installation of coal grinding and dosing facility was completed during the year and the amount incurred transferred to plant and machinery in property, plant and equipment.

NOTES TO THE FINANCIAL STATEMENTS (continued)
FOR THE YEAR ENDED 30 JUNE 2011**6. INTANGIBLE ASSETS**

	2011 KShs'000	2010 KShs'000
COST		
At the beginning of the year	49,762	49,762
Additions	<u>1,849</u>	<u>-</u>
	<u>51,611</u>	<u>49,762</u>
AMORTISATION		
At the beginning of the year	48,718	46,940
Charge for the year	<u>1,660</u>	<u>1,778</u>
	<u>50,378</u>	<u>48,718</u>
NET BOOK VALUE		
At 30 June	<u>1,233</u>	<u>1,044</u>

Intangible assets relate to computer software in use by the company.

7. PREPAID OPERATING LEASES

	2011 KShs'000	2010 KShs'000
COST		
At the beginning year	<u>12,886</u>	<u>12,886</u>
AMORTISATION AND IMPAIRMENT		
At the beginning of the year	1,142	3,267
Amortization charge	63	210
Provision for impairment written back	<u>-</u>	<u>[2,335]</u>
At the end of the year	<u>1,205</u>	<u>1,142</u>
NET BOOK VALUE		
At 30 June	<u>11,681</u>	<u>11,744</u>

Included in prepaid operating leases is a parcel of land acquired at a cost of KShs 408,330 for which the company's ownership is the subject of a dispute in court. A provision for impairment for the parcel of land, with a carrying amount of KShs 373,498, was made in the books of account in 2009, this provision was reversed in 2010 and no further provisions have been made in the current year.

8. INVESTMENT PROPERTIES

Investment properties relate to two pieces of leasehold land held by the company, under long-term lease arrangements. The land was valued at KShs 1.495 billion by Crystal Valuers Limited, accredited independent valuers, as at 30 June 2009. The present value of the ground rent obligations is immaterial and thus, the valuation amount of KShs 1.495 billion is equivalent to the fair values of these properties.

NOTES TO THE FINANCIAL STATEMENTS (continued)
FOR THE YEAR ENDED 30 JUNE 2011**9. DERIVATIVE FINANCIAL INSTRUMENTS**

As part of its asset and liability management, the company uses derivatives for hedging purposes in order to reduce its exposure to interest rate and foreign currency risks. This is done by engaging in interest rate swaps and currency swaps.

Interest rate swaps relate to contracts taken out by the company with other financial institutions in which the company either receives or pays a floating rate interest in return for paying or receiving, a fixed rate of interest. The payment flows are usually netted against each other, with the difference being paid by one party to the other. In a currency swap, the company pays a specified amount in one currency and receives a specified amount in another currency. Currency swaps are mostly gross-settled.

The table below shows the fair values of derivative financial instruments, recorded as assets or liabilities at year end.

	2011 KShs'000
Assets	
Cross currency swap	916,925
Liabilities	
Cross currency swap	929,580

The company exchanged a Japanese Yen payable loan of JPY 821,970,000 for a US\$ 10,172,896 equivalent resulting in a gain of KShs 1,124,072 as at 30 June 2011.

10. DEPOSITS

	2011 KShs'000	2010 KShs'000
Short-term deposits:		
Kenya Commercial Bank Limited	348,143	518,860
The Co-operative Bank of Kenya Limited	-	109,088
CfC Stanbic Bank Limited	-	60,637
	<u>348,143</u>	<u>688,585</u>
Restricted deposits:		
Housing Finance Company of Kenya Limited	<u>58,586</u>	<u>57,349</u>

The short-term deposits mature within three months and the weighted average interest rate earned on the deposits during the year was 4.5% (2010 – 4.38%).

The deposits with Housing Finance Limited have been held as collateral for staff mortgages. The weighted average interest rate earned on the deposits during the year was 2.67% (2010 - 2.67%).

11. INVENTORIES

	2011 KShs'000	2010 KShs'000
Consumables	1,149,464	596,470
Raw materials	317,577	476,642
Work-in-progress	8,528	17,587
Finished products	<u>75,685</u>	<u>98,834</u>
	<u>1,551,254</u>	<u>1,189,533</u>

There was neither write down of inventories recognized as an expense nor inventories recognized as expense during the year.

NOTES TO THE FINANCIAL STATEMENTS (continued)
FOR THE YEAR ENDED 30 JUNE 2011

	2011 KShs'000	2010 KShs'000
12 TRADE AND OTHER RECEIVABLES		
Gross trade receivables	664,847	604,574
Impaired trade receivables	<u>(278,145)</u>	<u>(222,691)</u>
Net trade receivables	386,702	381,883
Staff receivables	42,344	25,207
Deposits, prepayments and other receivables	<u>535,457</u>	<u>264,887</u>
	<u>964,503</u>	<u>671,977</u>

Trade receivables are non-interest bearing. The average credit period on sales of finished goods is 15 days. The bulk of the trade receivables are covered by bank guarantees in favour of the company. For terms and conditions relating to related party receivables, refer to note 13. Before accepting any new customer, the company uses a credit scoring system to assess the potential customer's credit quality and defines credit limits by customer. Limits and scoring attributed to customers are reviewed twice a year.

As at 30 June, the aging analysis of trade receivables was as follows:

	2011 KShs'000	2010 KShs'000
Neither past due nor impaired	166,515	165,712
Past due but not impaired trade receivables:		
Between 15 and 30 days	62,912	35,963
Between 31 and 60 days	6,282	645
Over 60 days	<u>150,993</u>	<u>179,563</u>
Total trade receivables not impaired	386,702	381,883
Impaired trade receivables	<u>278,145</u>	<u>222,691</u>
Gross trade receivables	<u>664,847</u>	<u>604,574</u>

The company has provided for all receivables that are impaired. These receivables are over 120 days old. The movement in the provision for credit losses is as set out below:

	Trade receivables KShs'000	Other receivables KShs'000	Total 2011 KShs'000	Total 2010 KShs'000
At the beginning of the year	222,691	88,340	311,031	258,452
Additions	55,454	-	55,454	-
Reversals	-	-	-	-
Utilised	<u>-</u>	<u>(38,116)</u>	<u>(38,116)</u>	<u>52,579</u>
As at 30 June	<u>278,145</u>	<u>50,224</u>	<u>328,369</u>	<u>311,031</u>

In determining the recoverability of trade receivables, the company considers any change in the credit quality of the trade receivable from the date credit was initially granted up to the reporting date. The concentration of credit risk is limited due to the customer base being large and unrelated. Accordingly, the directors believe that there is no further credit provision required in excess of the allowance for credit losses already recognized.

NOTES TO THE FINANCIAL STATEMENTS (continued)
FOR THE YEAR ENDED 30 JUNE 2011**13. RELATED PARTIES AND RELATED PARTY TRANSACTIONS**

	2011 KShs'000	2010 KShs'000
Outstanding balances arising from transactions with related companies.		
(a) Amount due from related party: Bamburi Cement Limited	<u>5,203</u>	<u>5,269</u>

The amount relates to deposits made by the company to Bamburi Cement Limited for the purchase of clinker. Bamburi Cement Limited owns 12.5% of the shareholding in The East African Portland Cement Company Limited. No interest is charged on balances due from related companies, which are due within 2 months of the date of the transactions.

The following transactions were carried out with related parties:-

	2011	2010
(b) Purchases from related parties: Purchase of clinker from Bamburi Cement Limited	<u>-</u>	<u>259,565</u>

The company terminated the contract for purchase of clinker from Bamburi cement, a new contract was signed with National Cement limited.

	2011	2010
(c) Directors' remuneration:		
Fees for services as directors	1,260	1,260
Other emoluments	<u>13,547</u>	<u>21,683</u>
	<u>14,807</u>	<u>22,943</u>
(d) Key management compensation:		
Short-term employee benefits	28,074	30,991
Termination benefits	12,987	7,302
Medical benefits	<u>-</u>	<u>720</u>
	<u>41,061</u>	<u>39,013</u>

14. TAXES

(a) Tax recoverable		
At beginning of year	92,622	79,705
Charge for the year (note 14(b))	(506)	(2,449)
Over-provision in the previous year	(6,840)	(1,397)
Paid in the year	<u>960</u>	<u>16,763</u>
At end of year	<u>86,236</u>	<u>92,622</u>
(b) Income tax expense		
Current tax based on the adjusted profit for the year at 30%	506	2,449
Over provision in previous year	<u>6,840</u>	<u>1,397</u>
Total current tax charge	7,346	3,846
Deferred tax credit (note 19)		<u>(58,366)</u>
		<u>(54,520)</u>

NOTES TO THE FINANCIAL STATEMENTS (continued)
FOR THE YEAR ENDED 30 JUNE 2011**14. TAXES (continued)**

	2011 KShs'000	2010 Shs'000
Accounting loss before tax	<u>(119,059)</u>	<u>(338,571)</u>
Tax at the applicable rate of 30%	(35,718)	(101,571)
Tax effect of items not deductible for tax purposes	(532,377)	384,225
Prior year over provision	<u>6,840</u>	<u>1,397</u>
	<u>(680,314)</u>	<u>(54,520)</u>

15. BANK BALANCES AND CASH

Bank balances	214,926	262,562
Cash in hand	<u>1,305</u>	<u>632</u>
	<u>216,231</u>	<u>263,194</u>

Bank balances do not earn any interest.

16. SHARE CAPITAL AND RESERVES**(a) Share capital**

126,000,000 shares of KShs 5 each	<u>630,000</u>	<u>630,000</u>
Authorised, issued and fully paid:		
90,000,000 shares of KShs 5 each	<u>450,000</u>	<u>450,000</u>

The share premium is not distributable and represents the amounts above the par value of shares received by the company on issue of ordinary shares.

(c) Asset revaluation reserve

The asset revaluation reserve is not distributable and is used to record increases in the fair value of property, plant and equipment and decreases to the extent that such decrease relates to an increase on the same asset previously recognised in equity.

NOTES TO THE FINANCIAL STATEMENTS (continued)
FOR THE YEAR ENDED 30 JUNE 2011**17. DIVIDENDS PAID AND PROPOSED**

	2011 KShs'000	2010 KShs'000
Declared and paid during the year		
Final dividend for 2009 – KShs 1.30 per share	<u>-</u>	<u>112,000</u>

Proposed for approval at the annual general meeting (not recognised as a liability as at 30 June):

	2011 KShs'000	2010 KShs'000
Dividends on ordinary shares:		
Final dividend for 2011: KShs 0.50 per share (2010: Nil)	<u>45,000</u>	<u>-</u>

- (i) Dividend per share is arrived at by dividing the total dividends by the weighted average number of shares in issue during the year.
- (ii) A first and final dividend in respect of year 2009 of KShs 1.30 was approved and paid in 2010.
- (iii) Payment of dividend is subject to withholding tax at the rate of 5% for resident and 10% for non-resident shareholders respectively.

18. STAFF GRATUITY

This represents outstanding obligations in respect of staff gratuity payable under the Collective Bargaining Agreement for unionisable staff and staff on contract. The movement during the year was as follows:

	2011 KShs'000	2010 KShs'000
Balance at the beginning of the year	437,459	416,315
Paid during the year	(10,235)	(84,269)
Provision for the year	<u>90,304</u>	<u>105,413</u>
Balance as at 30 June	<u>517,528</u>	<u>437,459</u>

NOTES TO THE FINANCIAL STATEMENTS (continued)
FOR THE YEAR ENDED 30 JUNE 2011**19. DEFERRED TAX**

Movements in deferred tax during the year were as follows:-

	At 1 July 2009 KShs'000	Statement of comprehen- sive income KShs'000	At 30 June 2010 KShs'000
Deferred tax liabilities			
Property, plant and equipment	1,623,111	4,264	1,672,375
Unrealised exchange gain	35,706	(35,706)	-
Overprovision in previous year	<u>(4,347)</u>	<u>4,347</u>	<u>-</u>
	<u>1,654,470</u>	<u>(27,095)</u>	<u>1,627,375</u>
Deferred tax assets			
Tax loss (business)	(211,639)	(98,134)	(309,773)
Tax loss (farming)	(4,297)	(2,221)	(6,518)
Provision for staff leave	(17,594)	(4,375)	(21,969)
Provision for staff gratuity	(124,895)	(6,343)	(131,238)
Provision for bonus	-	(22,198)	(22,198)
Unrealised exchange loss	<u>(237,959)</u>	<u>102,000</u>	<u>(135,959)</u>
	<u>(596,384)</u>	<u>(31,271)</u>	<u>(627,655)</u>
Balance as at 30 June	<u>1,058,086</u>	<u>(58,366)</u>	<u>999,720</u>

NOTES TO THE FINANCIAL STATEMENTS (continued)
FOR THE YEAR ENDED 30 JUNE 2011

	1 July 2010 KShs'000	Statement of comprehen- sive income KShs'000	At 30 June 2011 KShs'000
Deferred tax liabilities			
Property, plant and equipment	1,627,375	(301,531)	1,325,844
Deferred tax assets			
Tax loss (business)	(309,773)	(260,600)	(570,373)
Tax loss (farming)	(6,518)	6,518	-
Provision for staff leave	(21,969)	(591)	(22,560)
Provision for staff gratuity	(131,238)	(24,020)	(155,258)
Provision for bonus	(22,198)	(1,123)	(23,321)
Obsolete stock provision	-	(14,305)	(14,305)
Staff debts provision	-	(15,068)	(15,068)
Bad debts provision	-	(16,636)	(16,636)
Legal fees provision	-	(10,916)	(10,916)
Unrealised exchange loss	(135,959)	(49,388)	(185,347)
	(627,655)	(386,129)	(1,013,784)
Balance as at 30 June	<u>999,720</u>	<u>(687,660)</u>	<u>312,060</u>

NOTES TO THE FINANCIAL STATEMENTS (continued)
FOR THE YEAR ENDED 30 JUNE 2011**20. LONG - TERM LOAN**

The Overseas Economic Co-operation Fund of Japan (JICA) loan guaranteed by Kenya Government is denominated in Japanese Yen and is repayable in 41 half yearly instalments by 20 March 2020 with interest at 2.5% per annum – Japanese Yen 3,686,925,332 (2010 – Japanese Yen 3,653,596,749)

	2011 KShs'000	2010 KShs'000
Balance as at 30 June	3,667,699	3,378,353
Accrued interest	<u>19,226</u>	<u>23,834</u>
	3,686,925	3,402,187
Less: repayable within one year	<u>(407,522)</u>	<u>(361,632)</u>
Repayable after one year	<u>3,279,403</u>	<u>3,040,555</u>

21. OBLIGATIONS UNDER FINANCE LEASES

The company has commercial leases on certain motor vehicles. These leases have an average life of three years with the option of a one year renewal but no purchase options are included in the contracts. There are no restrictions placed on the company by entering into these leases. Future minimum payments under the finance leases together with the present value of the net minimum lease payments are as follows:

	Minimum payments	2011 Present value of lease payments	Minimum payments	2010 Present value of lease payments
			KShs'000	KShs'000
Within one year	66,140	61,462	14,097	13,100
After one year but not more than five years	<u>177,952</u>	<u>129,665</u>	<u>28,193</u>	<u>21,980</u>
Total minimum lease payments	<u>244,092</u>	<u>191,127</u>	<u>42,290</u>	<u>35,080</u>
Less amounts representing finance charges	<u>(52,965)</u>	-	<u>(7,210)</u>	-
Present value of minimum lease payments	<u>191,127</u>	<u>191,127</u>	<u>35,080</u>	<u>35,080</u>

The interest rate applicable to the above leases is 12%, which is the rate used by the bank to determine the periodic lease payments.

NOTES TO THE FINANCIAL STATEMENTS (continued)
FOR THE YEAR ENDED 30 JUNE 2011

	2011 KShs'000	2010 KShs'000
22. BANK OVERDRAFT		
Kenya Commercial Bank Limited	<u>(1,695)</u>	<u>-</u>

The company has a bank overdraft facility with the Kenya Commercial Bank Limited. The amount approved as at year-end was KShs 157,698,000 and drawings against this facility attract interest at market rates. The facility is secured by a legal charge over certain properties owned by the company, Land Reference numbers 337/639, 8649, 9767, 8785 and 8786, and a debenture over the company's assets of KShs 219,600,000 each.

23. TRADE AND OTHER PAYABLES

	2011 KShs'000	2010 KShs'000
Trade payables	1,023,486	799,387
Other payables and accruals	488,279	555,922
Unclaimed dividends	36,676	36,676
Advance receipts from customers	<u>81,059</u>	<u>69,933</u>
Balance as at 30 June	<u>1,629,500</u>	<u>1,461,918</u>

Trade and other payables are non-interest bearing. The average credit period on purchases is 30 days. The company has financial risk management policies in place to ensure that all payables are paid within the credit timeframe. These are disclosed under note 42.

24. REVENUE

	2011 KShs'000	2010 KShs'000
Bagged cement – local	9,096,539	8,506,163
Bagged cement – export	920,057	798,980
Bulk cement – local	<u>155,544</u>	<u>103,568</u>
	<u>10,172,140</u>	<u>9,408,711</u>

25. COST OF SALES

Raw materials used	3,388,097	2,280,733
Furnace oil	1,323,022	2,033,426
Factory staff costs	850,331	857,883
Power	808,383	844,087
Factory depreciation	380,151	355,540
Maintenance costs	356,387	423,186
Raw materials transport	123,553	229,769
Factory direct supplies	63,505	63,257
Fuel and repairs	191,164	176,111
Factory insurance	32,937	39,943
Exploration expenses	<u>2,658</u>	<u>7,671</u>

NOTES TO THE FINANCIAL STATEMENTS (continued)
FOR THE YEAR ENDED 30 JUNE 2011**25. COST OF SALES (continued)**

	2011 KShs'000	2010 KShs'000
Explosives	4,472	10,692
Royalties	48,117	25,979
Factory water	10,196	6,416
Factory land rate and rent	2,756	3,263
Consultancy fees	12,739	-
Other production overheads	9,838	-
Hired equipment	<u>195,157</u>	<u>17,968</u>
	<u>7,803,463</u>	<u>7,375,924</u>
26. OTHER OPERATING INCOME		
Gain on disposal of property, plant and equipment	1,607	217
Other sundry income	<u>28,494</u>	<u>14,294</u>
	<u>30,101</u>	<u>14,511</u>
27. MOVEMENT IN PROVISIONS		
Inventories		
Balance at the beginning of the year	196,909	194,331
Additions	1,133	2,578
Write-backs	<u>(110,680)</u>	<u>-</u>
Balance at the end of the year	<u>87,362</u>	<u>196,909</u>
Royalties		
Balance at the beginning of the year	47,954	25,155
Additions	-	22,799
Utilised	<u>(13,689)</u>	<u>-</u>
Write-backs	<u>(34,265)</u>	<u>-</u>
Balance at the end of the year	<u>-</u>	<u>47,954</u>
Impairment of leasehold land		
Balance at the beginning of the year	-	2,335
Additions	-	-
Utilised	-	-
Write-backs	<u>-</u>	<u>(2,335)</u>
Balance at the end of the year	<u>-</u>	<u>-</u>
TOTAL WRITE BACKS IN THE YEAR	<u>144,945</u>	<u>2,335</u>

In the current year, the write-back arises from the reduction of provision for obsolete inventory and reversal of provision for royalties made in the previous years on account of dispute between the company and Ole Kejuado County Council. The dispute was settled during the current financial year.

The write-back in 2010 related to provision for impairment of leasehold land whose title documents were missing in the previous year. Management was in the process of obtaining the titles.

NOTES TO THE FINANCIAL STATEMENTS (continued)
FOR THE YEAR ENDED 30 JUNE 2011**28. FARM NET LOSS**

	2011 KShs'000	2010 KShs'000
Farm gross income	-	39
Farm expenditure:		
Farm salaries and wages	-	(6,909)
Farm general expenses	-	(722)
Farm depreciation	-	(164)
Impairment of equipment	-	(1,145)
Veterinary expenses and animal feeds	-	(131)
Farm petrol and diesel	-	(265)
Farm maintenance and repairs	-	(24)
Total farm expenditure	-	(9,360)
Net loss	-	(9,321)

The company discontinued farming activities in 2010.

29. SELLING AND DISTRIBUTION EXPENSES

Cement transport	341,985	320,106
Advertising and sales commissions	126,459	162,207
Fuel and repairs	25,565	21,802
Customs and other export levies	93,253	55,481
Depot rent	15,618	12,421
Public relations costs	4,947	2,140
Credit losses expense	71,902	12,651
	<u>679,729</u>	<u>586,808</u>

30. ADMINISTRATION AND ESTABLISHMENT EXPENSES

Staff costs	731,171	885,456
Depreciation	86,149	42,775
Amortisation of intangible assets	1,369	1,778
Amortisation of prepaid operating leases	290	210
Office supplies	41,148	33,722
Travelling expenses	48,748	77,484
Hired services	20,848	28,319
Telephone and postage	13,984	17,154
Company functions	13,684	32,272
Board expenses	17,515	13,377
Printing and stationery	7,338	9,432
Motor vehicle expenses	7,610	7,952
Computer expenses	28,433	17,482
Electricity	9,108	10,733
Office general expenses	23,450	16,359
	<u>1,050,845</u>	<u>1,194,505</u>

NOTES TO THE FINANCIAL STATEMENTS (continued)
FOR THE YEAR ENDED 30 JUNE 2011

31. OTHER OPERATING EXPENSES

	2011 KShs'000	2010 KShs'000
Professional fees	58,531	52,663
Subscriptions	5,254	7,939
Donations	7,275	10,189
Bank charges	14,485	8,628
Miscellaneous expenses	7,874	2,962
Credit losses expense	-	14,553
Auditors' remuneration	4,538	3,300
Tax penalties and interest	60,115	50,900
Exchange loss on other foreign currency transactions and balances	<u>1,437</u>	<u>17,850</u>
	<u>159,509</u>	<u>168,984</u>
32. FINANCE INCOME		
Interest income	<u>9,975</u>	<u>105,113</u>

Interest income was earned on short-term and restricted deposits which were held in by Kenya Commercial Bank and Housing Finance Limited respectively during the year. The weighted average interest rate earned on the short term deposits was 4.5% (2010 –4.38%) while on restricted deposits it was 2.67% (2010 - 2.67%).

33. FINANCE COSTS

	2011 KShs'000	2010 KShs'000
Interest on overdraft	14,940	1,733
Interest charged on loans	84,580	80,790
Interest on loan swap liability	13,779	-
Interest on lease obligation	<u>13,466</u>	<u>-</u>
	<u>126,765</u>	<u>82,523</u>

34. EXCHANGE LOSS ON FOREIGN CURRENCY LOAN

The exchange loss on the loan arises mainly from the translation of the Japanese Yen denominated loan to Kenya Shillings at the year-end. The loss resulted from the depreciation of the Kenya Shilling by 21% (2010 – 15%) against the Japanese Yen during the year.

35. LOSS BEFORE TAX

The profit / (loss)/before tax is arrived at after charging:

Directors' emoluments:

- Fees

- Other emoluments

Auditors' remuneration

Depreciation

Amortisation – software

Prepaid operating lease rentals

Staff costs (note 37)

Provision for doubtful receivables

Impairment of equipment

Foreign exchange loss

And after crediting:

Provisions written back

Gain on disposal of property, plant and equipment

Foreign exchange gain

	2011	2010
	KShs'000	KShs'000
	1,260	1,260
	13,547	21,683
	4,538	3,300
	457,920	398,479
	1,660	1,778
	63	210
	1,453,499	1,744,422
	71,902	-
	7,726	1,145
	<u>697,437</u>	<u>463,608</u>
	144,945	2,335
	1,607	217
	<u>39,649</u>	<u>-</u>

36. EARNINGS PER SHARE

Earnings per share is calculated by dividing the profit/(loss) attributable to shareholders by the number of ordinary shares in issue during the year.

	2011	2010
	KShs'000	KShs'000
Earnings for purposes of basic and diluted earnings per share	<u>565,255</u>	<u>(284,051)</u>
Number of ordinary shares (thousands)	<u>90,000</u>	<u>90,000</u>
Loss per share - basic and diluted (KShs)	<u>6.24</u>	<u>(3.16)</u>

There were no potentially dilutive ordinary shares outstanding at 30 June 2011 or 30 June 2010. Therefore, diluted earnings per share are the same as the basic earnings per share.

37. STAFF COSTS

	2011	2010
	KShs'000	KShs'000
Salaries and wages	1,312,691	1,363,404
Restructuring costs	-	217,672
Provision for staff gratuity	90,304	105,413
Pension contributions	42,966	39,873
Leave pay provision	5,998	15,914
Social security costs (NSSF)	<u>1,540</u>	<u>2,146</u>
	<u>1,453,499</u>	<u>1,744,422</u>

NOTES TO THE FINANCIAL STATEMENTS (continued)
FOR THE YEAR ENDED 30 JUNE 2011**38. STATEMENT OF CASH FLOWS**

(a) Reconciliation of loss before tax to cash generated from operations

	2011 KShs'000	2010 KShs'000
Loss before tax	(119,059)	(338,571)
Adjustments for:		
Depreciation	457,920	398,479
Amortisation on prepaid operating leases	63	210
Amortisation of intangible assets	1,660	1,778
Gain on sale of property, plant and equipment	(1,607)	(217)
Impairment of equipment	7,726	1,145
Write-back of provision for impairment of leasehold land	-	(2,335)
Exchange loss on foreign currency loan	655,909	451,176
Exchange gain on hedging instrument	(1,124)	-
Staff gratuity provision	90,304	105,413
Interest expense – long term loan	84,580	80,790
–bank overdraft	14,940	1,733
–Hedging Instrument	13,779	-
Interest Income	<u>(9,975)</u>	<u>(105,113)</u>
Operating profit before working capital changes	<u>1,195,116</u>	<u>594,488</u>

NOTES TO THE FINANCIAL STATEMENTS (continued)
FOR THE YEAR ENDED 30 JUNE 2011**38. STATEMENT OF CASH FLOWS (continued)**

(a) Reconciliation of loss before tax to cash generated from operations (continued)

	2011 KShs'000	2010 KShs'000
Increase in inventories	(361,721)	(396,927)
(increase)/decrease in trade and other receivables	(292,526)	10,832
Increase in trade and other payables	167,582	263,688
Decrease in related party balances	66	53,203
Staff gratuity paid	(10,235)	(84,269)
Cash generated from operations	<u>698,282</u>	<u>441,015</u>
(b) Movement in loans		
Balance at the beginning of the year	3,378,353	3,241,578
Foreign currency exchange loss	655,909	444,841
Repayments during the year	<u>(366,563)</u>	<u>(308,066)</u>
Balance at 30 June	<u>3,667,699</u>	<u>3,378,353</u>
(c) Interest paid on borrowings		
Balance at the beginning of the year	23,834	19,502
Interest charge	84,580	80,790
Foreign currency exchange loss	-	6,335
Accrued as at 30 June	<u>(19,226)</u>	<u>(23,834)</u>
Interest paid on long – term loan	<u>89,188</u>	<u>82,793</u>
Interest paid on overdraft	<u>14,940</u>	<u>1,733</u>
Interest paid on borrowings	<u>104,128</u>	<u>84,526</u>
(d) Movement in lease obligations		
Balance at the beginning	35,080	-
Additions during the year	165,344	35,080
Repayments during the year	<u>(9,297)</u>	<u>-</u>
Balance at the close of the year	<u>191,127</u>	<u>35,080</u>
(e) Purchase of property, plant and equipment (note 4)		
Assets acquired under finance lease	<u>236,843</u>	<u>179,176</u>
	<u>(165,344)</u>	<u>(35,080)</u>
	<u>71,499</u>	<u>144,096</u>
(f) Analysis of cash and cash equivalents		
Short term deposits	348,143	688,585
Bank and cash balances	216,231	263,194
Bank overdraft	<u>(1,695)</u>	<u>-</u>
	<u>562,679</u>	<u>951,779</u>

NOTES TO THE FINANCIAL STATEMENTS (continued)
FOR THE YEAR ENDED 30 JUNE 2011**39. RETIREMENT BENEFITS OBLIGATIONS**

The company, with effect from 1 July 2006, operates a defined contribution pension scheme for senior and supervisory staff. The scheme was previously a non-contributory defined benefits pension scheme. The scheme is administered independently by Alexander Forbes Financial Services (E.A) Limited, while its investments are managed by Stanbic Investments Services (East Africa) Limited. Contributions to this scheme during the year amounted to KShs 42,966,000 (2010 – KShs 39,873,000).

The company also operates an in-house gratuity scheme for unionisable employees. Contributions to this gratuity scheme are governed by a collective bargaining agreement that is reviewed triennially and was last reviewed on 30 June 2010. These contributions are not invested or managed as a separate fund, but are self funded and are fully provided for in the company's financial statements.

The company also contributes to the statutory defined contribution pension scheme, the National Social Security Fund. Contributions to the statutory scheme are determined by local statute and are currently limited to KShs 200 per employee per month. The company's contributions are charged to the statement of comprehensive income in the year to which they relate. Contributions to this scheme during the year amounted to KShs 1,540,000 (2010 – KShs 2,146,000).

40. REVENUE ANALYSIS AND SEGMENTAL REPORTING

The company revenues are derived from sales in the following markets;

Local market – Kenya

Regional market (East and Central Africa)

	2011 KShs'000	2010 KShs'000
	9,617,947	8,609,731
	<u>554,193</u>	<u>798,980</u>
	<u>10,172,140</u>	<u>9,408,711</u>

Sales to the regional market are done through depots whose net assets constitute less than 5% of the company's total net assets. Segment reporting with respect to net assets is, therefore, not considered of any real value. In addition, the local sales are 92% of the total revenue hence there is only one reportable segment.

41. CAPITAL MANAGEMENT

The company manages its capital to ensure that it will be able to continue as a going concern while optimization the return to stakeholders through the optimization of the debt and equity balance. The capital structure of the company consists of debt, which includes borrowings (disclosed in note 9, 20, 21 and 22), cash and cash equivalents and equity attributable to equity holders, comprising issued capital and retained earnings. Consistent with others in the industry, the company monitors capital on the basis of the gearing ratio. This ratio is calculated as net debt divided by total capital. Net debt is calculated as total borrowings less cash and cash equivalents. Total capital is calculated as equity plus net debt.

NOTES TO THE FINANCIAL STATEMENTS (continued)
FOR THE YEAR ENDED 30 JUNE 2011**41. CAPITAL MANAGEMENT (continued)**

	2011 KShs'000	2010 KShs'000
Share capital	450,000	450,000
Share premium	648,000	648,000
Retained earnings	<u>3,867,338</u>	<u>3,341,441</u>
Equity	<u>4,965,338</u>	<u>4,439,441</u>
Total borrowings	3,688,620	3,437,267
Less: cash and cash equivalents [note 35]	<u>(562,679)</u>	<u>(951,779)</u>
Net debt	<u>3,125,941</u>	<u>2,485,448</u>
Total capital	<u>8,091,279</u>	<u>6,924,889</u>
Gearing ratio	<u>38.63%</u>	<u>35.89%</u>

42 FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES

The company's activities expose it to a variety of financial risks, including credit risk and the effects of changes in debt and equity market prices, foreign currency exchange rates and interest rates. The company's overall risk management programme focuses on the unpredictability of financial markets and seeks to minimise potential adverse effects on its financial performance.

Risk management is carried out by the finance department under policies approved by the Board of Directors. The finance department identifies, evaluates and hedges financial risks. The Board provides written principles for overall risk management, as well as written policies covering specific areas such as foreign exchange risk, interest rate risk, credit risk, use of non-derivative financial instruments and investing excess liquidity.

The company has policies in place to ensure that sales are made to customers with an appropriate credit history.

Credit risk

Credit risk arises from trade and other receivables, cash and cash equivalents, deposits with banks and amounts due from related parties. The company management assesses the credit quality of each customer, taking into account its financial position, past experience and other factors. Individual risk limits are set based on internal or external ratings in accordance with limits set by the Board. The utilisation of credit limits is regularly monitored.

NOTES TO THE FINANCIAL STATEMENTS (continued)
FOR THE YEAR ENDED 30 JUNE 2011**42. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (continued)***Credit risk (continued)*

The amount that best represents the company's maximum exposure to credit risk as at 30 June 2011 is made up as follows:

	Neither past due nor impaired KShs'000	Past due but not impaired KShs'000	Impaired KShs'000	Total KShs'000
Trade receivables	166,515	220,187	278,145	664,847
Other receivables and prepayments	577,801	-	101,795	679,596
Amount due from related party		5,703	-	5,703
Bank balances and cash	216,231	-	-	216,231
Deposits	406,729	-	-	406,729

The customers under the fully performing category are paying their debts as they continue trading. The debt that is overdue is not impaired and continues to be paid. The finance department is actively following this debts.

Liquidity risk

Ultimate responsibility for liquidity risk management rests with the board of directors, which has built an appropriate liquidity risk management framework for the management of the company's short, medium and long term funding and liquidity management requirements. The company manages liquidity risk by maintaining adequate reserves, banking facilities and reserve borrowing facilities, by continuously monitoring forecast and actual cash flows and matching the maturity profiles of financial assets and liabilities.

The following table analyses the company's financial liabilities that will be settled on a net basis into relevant maturity groupings based on the remaining period at the reporting date to the contractual maturity date. The amounts disclosed in the table below are the contractual undiscounted cash flows. Balances due within 12 months equal their carrying balances, as the impact of discounting is not significant.

	Up to 1 month KShs'000	1 – 3 months KShs'000	3 - 12 months KShs'000	1 – 5 Years KShs'000	Over 5 years KShs'000	Total KShs'000
At 30 June 2011						
Financial assets						
Trade receivables	202,034	102,740	81,928	278,145	-	664,847
Other receivables and prepayments	577,801	-	101,795	-	-	679,596
Amount due from related party	-	-	-	5,703	-	5,703
Bank balances and cash	216,231	-	-	-	-	216,231
Loan swap asset		45,846	45,846	366,770	458,463	916,925
Deposits	-	348,143	-	-	58,586	406,729
Total financial assets	<u>996,066</u>	<u>496,729</u>	<u>229,569</u>	<u>650,618</u>	<u>517,049</u>	<u>2,890,031</u>

NOTES TO THE FINANCIAL STATEMENTS (continued)
FOR THE YEAR ENDED 30 JUNE 2011**42. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (continued)***Liquidity risk (continued)*

	Up to 1 month KShs'000	1 – 3 Months KShs'000	3 – 12 months KShs'000	1 – 5 Years KShs'000	Over 5 years KShs'000	Total KShs'000
Financial liabilities						
Trade and other payables	528,952	509,508	591,040	-	-	1,629,500
Borrowings:						
Long term loan	-	-	407,522	2,037,611	1,222,566	3,667,699
Finance leases obligations	-	-	61,462	129,665	-	191,127
Loan swap liability	-	59,570	45,790	366,320	457,900	929,580
Total financial liabilities	528,952	569,078	1,105,814	2,533,596	1,680,466	6,437,132
Net liquidity gap	467,114	(72,349)	(876,245)	(1,882,978)	(1,163,417)	(3,527,875)
At 30 June 2010						
Financial assets						
Trade receivables	201,675	180,208	222,691	-	-	604,574
Other receivables and prepayments	290,094	-	85,340	-	-	375,434
Amount due from related party	-	-	5,769	-	-	5,769
Bank balances and cash	263,194	-	-	-	-	263,194
Deposits	-	688,585	-	-	57,349	745,934
Total financial assets	754,963	868,793	313,800	-	57,349	1,994,905
Financial liabilities						
Trade and other payables	(1,271,045)	(114,650)	(76,223)	-	-	(1,461,918)
Borrowings						
Long term loan	-	-	(361,632)	(1,688,993)	(1,351,562)	(3,402,187)
Finance leases obligations	-	-	(13,100)	(21,980)	-	(35,080)
Total Financial liabilities	(1,271,045)	(114,650)	(450,955)	(1,710,973)	(1,351,562)	(4,899,185)
Net liquidity gap	(516,082)	754,143	(137,155)	(1,710,973)	(1,294,213)	(2,904,280)

Market risk

(i) Foreign exchange risk

The company undertakes certain transactions denominated in foreign currencies. Exchange rate exposures are managed within approved policy parameters.

The carrying amounts of the company's foreign currency denominated monetary assets and liabilities at the reporting date are as follows:

NOTES TO THE FINANCIAL STATEMENTS (continued)
FOR THE YEAR ENDED 30 JUNE 2011**42. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (continued)***Market risk**(i) Foreign exchange risk*

	US\$ KShs'000	US\$ KShs'000	YEN KShs'000	DKK KShs'000
2011				
Assets				
Bank and cash balances	54,392	14,925	-	-
Loan swap asset	-	-	916,925	-
Trade receivables and other receivables	<u>19,088</u>	<u>410,919</u>	<u>-</u>	<u>-</u>
	<u>73,480</u>	<u>425,844</u>	<u>916,925</u>	<u>-</u>
Liabilities				
Borrowings	-	-	3,686,925	-
Loan swap liability	-	929,580	-	-
Trade and other payables	<u>-</u>	<u>29,464</u>	<u>-</u>	<u>-</u>
	<u>-</u>	<u>959,044</u>	<u>3,686,925</u>	<u>-</u>
2010				
Assets				
Bank and cash balances	40,545	79,074	-	-
Trade receivables	<u>54,178</u>	<u>80,789</u>	<u>-</u>	<u>-</u>
	<u>94,723</u>	<u>159,863</u>	<u>-</u>	<u>-</u>
Liabilities				
Borrowings	-	-	3,402,186	-
Trade and other payables	<u>-</u>	<u>30,991</u>	<u>47,361</u>	<u>27,909</u>
	<u>-</u>	<u>30,991</u>	<u>3,449,547</u>	<u>27,909</u>

Foreign exchange risk – Appreciation/depreciation of Kenya shilling against other currency by 1%

The following sensitivity analysis shows how profit and equity would change if the market risk variables had been different on the reporting date with all other variables held constant.

	2011 KShs'000		2010 KShs'000	
	Effect on profit	Effect on equity	Effect on profit	Effect on equity
Currency – Ugandan shillings				
+ 1% KShs movement	735	514	(947)	(663)
- 1% KShs movement	(735)	(514)	947	663
Currency - US dollars				
+ 1% KShs movement	(5,332)	(3,732)	1,288	902
- 1% KShs movement	5,332	(3,732)	(1,288)	(902)
Currency – YEN				
+ 1% KShs movement	27,700	19,390	(34,495)	(24,147)
- 1% KShs movement	(27,700)	(19,390)	34,495	24,147

NOTES TO THE FINANCIAL STATEMENTS (continued)
FOR THE YEAR ENDED 30 JUNE 2011**42. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (continued)***Market risk (continued)*

(ii) Cement price risk

The company derives its income mainly from the sale of its cement and prices, though fairly stable, can be influenced by market forces.

The following sensitivity analysis shows how profit and equity would change if the cement price had been different with all other variables held constant.

	2011 KShs' 000		2010 KShs' 000	
	Effect on profit	Effect on equity	Effect on profit	Effect on Equity
Cement price				
+ 1% movement	100,359	70,252	94,087	65,860
- 1% movement	<u>(100,359)</u>	<u>(70,252)</u>	<u>(94,087)</u>	<u>(65,860)</u>

(iii) Interest rate risk

Interest rate risks arise from fluctuations in the bank borrowing rates. The interest rates vary from time to time depending on the prevailing economic circumstances. To minimise the exposure, the company has negotiated a fixed interest rate on the borrowings. The company closely monitors the interest rate trends to minimize the potential adverse impact of interest rate changes. The table below summarises the exposure to interest rate risk at the reporting date.

Included in the table are the company's financial instruments at carrying amounts, categorized by the earlier of contractual repricing or maturity dates.

	Up to 1 month KShs'000	1-3 Months KShs'000	3-12 Months KShs'000	1-5 years KShs'000	Over 5 years KShs'000	Total KShs'000
At 30 June 2011						
Assets						
Cash and bank	216,231	-	-	-	-	216,231
balances						
Deposits	<u>-</u>	<u>343,143</u>	<u>-</u>	<u>-</u>	<u>55,586</u>	<u>398,729</u>
At 30 June 2010						
Assets						
Cash and bank	286,512	-	-	-	-	286,512
balances						
Deposits	<u>-</u>	<u>1,225,450</u>	<u>-</u>	<u>-</u>	<u>55,933</u>	<u>1,281,383</u>

Interest rate risks – Increase / decrease of 1% in net interest margin

NOTES TO THE FINANCIAL STATEMENTS (continued)
FOR THE YEAR ENDED 30 JUNE 2011

The following sensitivity analysis shows how profit and equity would change if the market risk variables had been different on the reporting date with all other variables held constant.

	2011 KShs' 000		2010 KShs' 000	
	Effect on profit	Effect on equity	Effect on profit	Effect on Profit
+ 1% Movement	100	70	1,051	736
-1 % Movement	(100)	(70)	(1,051)	(736)

Fair values of financial instruments

The company did not have financial instruments whose subsequent measurement is at fair value.

43. CONTINGENT LIABILITIES

	2011 KShs'000	2010 KShs'000
Pending law suits	198,781	198,781
Guarantee of staff mortgages	<u>55,933</u>	<u>57,349</u>
	<u>254,714</u>	<u>256,130</u>

Pending law suits relate to legal proceedings involving the company for breach of contract and also for loss of business as a result of trucks repossessed. However, in the opinion of the directors, no liability is likely to crystallise.

The deposits with Housing Finance Corporation Limited have been held as collateral for staff mortgages. The liability would only crystallise if a staff member defaults on their mortgage payments.

Tax Assessment

The Kenya Revenue Authority (KRA) carried out an audit of the company covering corporate tax, employee taxes, withholding tax and VAT for the period from 2006 to 2011. KRA, in their letter dated 7 September 2010, has demanded KShs 689,663,361 as the principal tax. In the opinion of the directors, after taking appropriate tax advice, this amount is not payable and they have appealed to the Commissioner to review the assessment. The directors are of the opinion that the outcome of their appeal will be favourable hence no provision has been made for any tax liability that may arise from this assessment in these financial statements.

44. CAPITAL COMMITMENTS

	2011 KShs'000	2010 KShs'000
Authorised by the directors but not contracted for	<u>787,000</u>	<u>2,039,812</u>
Authorised by the directors and contracted for	<u>415,000</u>	<u>769,858</u>

45. OPERATING LEASE RENTALS

Not later than 1 year	-	11,581
Later than 1 year but not later than 2 years	<u>11,681</u>	<u>16,112</u>
	<u>11,681</u>	<u>27,693</u>

NOTES TO THE FINANCIAL STATEMENTS (continued)
FOR THE YEAR ENDED 30 JUNE 2011**46. COUNTRY OF INCORPORATION**

The company is incorporated and domiciled in Kenya under the Companies Act and is listed on the Nairobi Stock Exchange.

47. CURRENCY

These financial statements are presented in thousands of Kenya Shillings (KShs '000).

48. EVENTS AFTER THE REPORTING DATE

No material events or circumstances have arisen between the accounting date and the date of this report.

SHAREHOLDING STRUCTURE 30.6.2011		
SHAREHOLDER	% HOLDING	NO. OF SHARES HELD
NSSF	27.0	24,300,000
GOK	25.3	22,799,505
CEMENTIA(LAFARGE)	14.6	13,180,442
BCI	14.6	13,144,442
BAMBURI(NOMINESS)	12.5	11,265,068
OTHERS	6.0	5,310,543
TOTAL	100	90,000,000

SHARE DISTRIBUTION SCHEDULE 30.6.2011			
Category	No. of Shareholders	Shares Held	Percentage
1-1,000	709	249,703	0.28
1,001-5,000	219	537,897	0.60
5,001-10,000	58	433,877	0.48
10,001-50,000	51	1,192,180	1.32
50,001-100,000	10	703,418	0.78
Over 100,000	12	86,882,925	96.54
TOTAL	1,059	90,000,000	100.00



NOTICE OF ANNUAL GENERAL MEETING

Notice is hereby given that the 79th Annual General Meeting of The East African Portland Cement Company Limited will be held at the Company's Club House, Athi River, on Thursday, 15th December 2011 at 12.00 noon to transact the following business:-

1. To read the Notice convening the meeting.
2. To confirm the minutes of the 78th Annual General Meeting held on 18 November 2010.
3. To receive the Chairman's Report.
4. To receive, consider and adopt the Financial Statements for the year ended 30 June 2011 together with the reports of the directors and auditors thereon.
5. To approve a first and final dividend of Kshs 0.50 per share in respect of the Financial Year ended 30 June 2011 as recommended by the directors.
6. To re- elect directors:-
In accordance with Article 99 of the Company's Articles of Association, the following Directors retire by rotation at this meeting and, being eligible, offer themselves for re-election.
 - Mr Joseph K. Kingua
 - Mr David K. Koros
7. To approve the remuneration of the Directors as shown in the Financial Statements for the year ended 30 June 2011.
8. To note that Messrs Ernst & Young continue in office as auditors under the provisions of Section 159 (2) of the Companies Act Cap 486 and to authorise the directors to fix their remuneration for the ensuing financial year.
9. To transact any other business of an annual general meeting of which due notice has been received.

SPECIAL BUSINESS**Amendment to the Articles of Association**

To consider and, if thought fit, pass the following resolution as a Special Resolution:-

"That the Articles of Association of the Company be amended as follows:-

A) 'That Article 118 be deleted in its entirety and replaced with the following new article:-

118. (a) Any dividend or other money payable in cash on or in respect of shares may be paid by

- i) direct debit, bank transfer or other automated system of bank transfer, electronic or mobile money transfer system transmitted to such bank or electronic or mobile telephone address as shown in the share register of the Company or
 - ii) by cheque or warrant payable at such place of business as the Company shall specify in writing, sent by post to the address of the member or person entitled to it as shown in the share register of the Company or if two or more persons are registered as joint holders of the shares, to the registered address of the joint holder who is first named in the share register of the Company or in the case of two or more persons being entitled thereto in consequence of the death or bankruptcy of the holder, to any one of such persons at such address as the persons being entitled to receive payment may in writing direct.
- (b) Every such cheque or warrant or funds transfer shall be made payable to or to the order of the person to whom it is sent or to such person who may be entitled to the same. Payment of the cheque or warrant, if purporting to be endorsed or enfaced, by the addressee or as the case may be, confirmation of payment having been made by the transmitting entity to the addressee of a direct debit, bank transfer or other automated system of bank transfer or via a mobile money transfer system, shall in each case be a good discharge to the Company. Every such payment whether by cheque or warrant or electronic funds transfer or mobile money payments system shall be sent at the risk of the person entitled to the money represented by it.'

B) That the following new Article 124 (a) be added immediately after Article 124:-

124 (a) The Accounts may be sent or otherwise made available by electronic means and not by post. This Article shall not require a copy of the Accounts to be sent or otherwise made available by electronic means to any person who's electronic or postal address the Company is not aware of, nor to more than the first named of any joint holders of any shares. The Company may also send the accounts to all persons entitled thereto by publishing the Accounts

on the Company's official website provided that the Company shall send to every Member or publish a summary of the Financial Statements and Auditors Report in two daily newspapers with national circulation for two consecutive days drawing attention to the website on which the Accounts in full may be read, and the address to which a request for a printed copy of the Accounts may be submitted to the Company Secretary and upon any such publication the Accounts shall be deemed to have been sent to every Member or other person entitled to receive a copy of the Accounts.'

- C) That the following new article 127 (a) be added immediately after Article 127.
- 127 (a) Every notice or other document given by the Company shall be in writing.
- To the extent permissible by law, the Company may serve any notice to be given to its Members by:
- a) Publishing such notice in two daily newspapers with nationwide circulation; or
 - b) Sending such notice through the post addressed to such Member at his registered postal address; or
 - c) By facsimile transmission to such Member at his registered facsimile address; or
 - d) By electronic mail to such Member at his registered electronic mail address.

Provided that where the Company elects to send such notice to such Member at his registered facsimile or electronic mail address the Company shall ensure that such notice is also published in two daily newspapers with nationwide circulation.

Any notice which has been published in a daily newspaper in accordance shall be deemed to have been served at 9:00 am on the next business day following the date when it was published.

Any notice sent by facsimile or electronic mail shall be deemed to have been served at 9:00 am on the business day following the date when transmitted or sent.

In proving the giving of a notice, it shall be sufficient to prove that the notice was published in a daily paper of nationwide circulation, or that the envelope containing the notice was properly addressed, stamped and posted, or that the applicable means of telecommunication or electronic communication was properly addressed and transmitted, dispatched or sent.

The failure of any person or entity to receive any notice served shall not in any way invalidate any proceedings or actions taken by the Company for which the notice was given."

10. Status of the Company

To consider and, if thought fit, to pass the following as an Extraordinary Resolution:-

"That Company not being a State Corporation, the Board is hereby directed to henceforth comply with the provisions of the Companies Act Cap 486 and Articles of Association of the Company as amended from time to time to the exclusion of any other law not otherwise lawfully regulating the conduct and operations of a Kenyan public limited liability company listed on the Nairobi Stock Exchange."

BY ORDER OF THE BOARD

J L G MAONGA
SECRETARY

Date: 27 October 2011

Note: A member entitled to attend and vote at this meeting is entitled to appoint a proxy to attend and vote on his behalf. A proxy need not be a member of the Company.

PROXY

I/WE _____

OF _____

Being a member(s) of the above Company, hereby appoint:

OF _____

Whom failing _____

OF _____

or failing him, the Chairman of the Meeting, as my/our proxy, to vote for me/us and on my/our behalf at the 79th Annual General Meeting of The East African Portland Cement Company Limited to be held on Thursday 15th December 2011 and at any adjournment thereof.

As witness my/our hand this day of 2011

Signed _____

Note:

1. A member entitled to attend and vote is entitled to appoint a proxy to attend and vote in his stead and a proxy need not be a member of the Company.
2. In the case of a member being a limited Company this form must be completed under its common seal or under the hand of an officer or attorney duly authorised in writing.
3. This proxies must be deposited at the Registered Office of the Company, Namanga Road, Athi River, off Mombasa Road, P O Box 40101, 00100 Nairobi not less than 48 hours before the time of holding the meeting.



NOTES





East African Portland
Cement Co. Ltd

Holding Life Together

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